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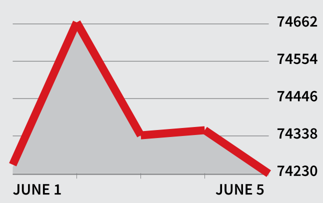


IN FOCUS

	Week's close	Week's change
Nifty 50	23366.70	-181.05
P/E Ratio (Sensex)	20.09	-0.01
US Dollar (in ₹)	94.94	-0.06
Gold Std 10 gm (in ₹)	153620.00	-2216
Silver 1 kg (in ₹)	256908.00	-6442

SPARK. **Indian toy start-ups** attract global investors as exports, manufacturing capacity and international demand grow rapidly **p8**

CURRENT ACCOUNT. **EV owners** face higher insurance costs as battery risks reshape pricing **p9**

MONDAY SPECIALS.

CLEANTECH

The conservation kitty just shrank 36%

The Global Environment Facility (GEF) will have at least $3.9 billion till 2030 to spend on projects to conserve biodiversity, combat climate change, and deal with desertification, mercury poisoning and persistent organic pollutants. This is almost 36 per cent less than the $5.3 billion that the GEF had for the four years ending in 2026. The US has not paid for the next four years. India is paying $20 million, the same as it did four years ago. **p6**

Professional forecasters see FY27 GDP growth at 6.5%

WEAK OUTLOOK. It is slightly lower than RBI's estimate; inflation projected at 4.9%

Our Bureau
Mumbai

India's economic growth is expected to moderate to 6.5 per cent in 2026-27, while headline retail inflation is projected at 4.9 per cent, according to the Reserve Bank of India's latest Survey of Professional Forecasters (SPF).

The estimates reflect a slightly weaker growth outlook but a more benign inflation trajectory than the RBI's own forecasts of 6.6 per cent GDP growth and 5.1 per cent inflation for FY27.

RATE HIKE INDICATION

The SPF also suggests limited scope for further monetary easing. Forecasters expect the repo rate to end FY27 at 5.75 per cent, implying two 25-basis-point hikes from the current 5.25 per cent — to 5.50 per cent in Q3 and 5.75 per cent in Q4. The SPF also suggests that interest rates will rise hereon.

For FY28, the panel projected GDP growth at 6.9 per cent and inflation at 4.5 per cent. The highest probability was assigned to GDP growth in the 6.5-6.9 per cent range for both FY27 and FY28. Forty panellists participated in the 100th round of the bi-monthly SPF conducted in May.

"So, this (difference in SPF and RBI estimates on real GDP growth and inflation) is a matter of perception... if you go back in the data and check, there will always be some difference because their methodologies may be different, their sample may be different.

"But the elephant in the room is the West Asia situation. So, everything boils down to when this war ends. If it ends within, let's say, 15-20 days, everything is on track. If it goes on for, let's say, six months or eight months, these calculations/estimates could be under some kind of a strain," said Manoranjan Sharma, Chief Economist, Infomerics Ratings.

MACRO SNAPSHOT

- Panel sees two hikes of 25 basis points in FY27
- RBI projected a slightly higher 6.6 per cent GDP growth outlook
- Repo rate expected to rise from 5.25 to 5.75%
- The current account deficit is seen widening to 2.1 per cent in FY27
- Inflation is expected to ease to 4.5 per cent in FY28 projections

CRUDE PRICES

Garima Kapoor, Deputy Head of Research and Economist at Elara Securities, said both RBI and SPF forecasts are directionally similar, with differences largely reflecting assumptions on the war, rupee and oil prices.

In the June 5 monetary policy statement, RBI Governor Sanjay Malhotra said inflation remains below the 4 per cent target despite global shocks.

"While the baseline projections point towards headline inflation firming up towards the upper tolerance level (6 per cent) in Q3 (October-December) FY27, the impact of the supply shock is expected to wane Q4 (January-March) onwards. The underlying inflation pressures continue to remain benign at this juncture," he said.

"The divergence comes in inflation where you take in some aggressive assumptions. So, for example, one of the reasons for the divergence is a lot of private forecasters and economists having a lot of assuming, say, a worse versus worst case in El Nino, for example," said Sachchidanand Shukla, Group Chief Economist, Larsen & Toubro.

The SPF expects the current account deficit at 2.1 per cent of GDP in FY27, up from 1.5 per cent estimated in the previous round, before moderating to 1.2 per cent in FY28.

'India must not yield to Section 301 threats for a lopsided trade deal'

Amiti Sen
New Delhi

As India awaits report on the Section 301 investigations on excess capacity after being saddled with a proposed 12.5 per cent tariff for the first one on forced labour, many experts believe the government should not allow the two to be linked to the ongoing India-US trade negotiations, as Washington's unilateral measures violate global rules and offer no long-term policy certainty.

Trade experts warn that relying on a bilateral trade pact to shield Indian exports from aggressive US trade actions may fail. They argue that unilateral actions, like the proposed 12.5 per cent tariff on alleged forced labour grounds, must be contested independently rather than bundled into trade concessions.

FORCED LABOUR

"The proposed US tariffs of 12.5 per cent on the specious ground of not stopping imports of goods where there is alleged use of forced labour is in violation of WTO rules," said WTO expert Mukesh Bhatnagar.

"This must be contested upfront and challenged at the WTO if actually applied."

Former trade negotiator Abhijit Das echoed this sentiment, cautioning against mixing legal disputes with broader trade pacts.

"Dealing with 301 tariffs, which *ab initio* are illegal from a WTO perspective, through the trade deal is fraught with risks. There is no certainty that Trump will uphold his side of the deal. India should muster the political will to take retaliatory action, as it had done against the illegal steel and aluminium tariffs under Trump 1," he said.

With the US Supreme Court invalidating the 25 per cent US reciprocal tariffs and the 10 per cent temporary global tariffs set to lapse on July 24, there is no logic for India to agree to high additional rates of 18 per cent, other than the fear that lacking a deal, Section 301 tariffs may be higher. Experts say an agreement with the US provides no immunity against future trade hostility.

"The US FTA will not insure against future tariff backlash on different issues, be it labour or environment or any other. This is evident from the issues that countries which have trade agreements with the US are facing," said Arpita Mukherjee, Professor at ICRIER.

Instead, Mukherjee suggested a rigorous empirical defence: "The USTR has called for comments and the first step is to see if we can challenge the authenticity of the claim technically and scientifically with evidence."

STEEP CONCESSIONS

The dilemma lies in balancing potential market access against the steep concessions Washington demands.

Former JNU professor Arun Kumar suggested a cold calculation of interests.

"If we do an FTA, why should Section 301 be an additional tariff on India? It should be negotiated with some give and take," he noted.

"Under an FTA, the US will extract many concessions. If no FTA, they will levy high tariffs on India. But we need not give in to what they want. We will have to do a comparison of the gains and losses of higher tariffs versus concessions the US wants."

NRIs miss out on G-Sec tax break granted to FPIs

Shishir Sinha
New Delhi

Unlike foreign portfolio investors (FPIs), non-resident Indians (NRIs) will be required to pay income tax on capital gains or interest from Government Securities (G-Secs) if they invest on a standalone basis, government officials said.

The rate will be based on provisions under the Double Taxation Avoidance Agreements with the country concerned.

"Not standalone, but NRIs can invest as part of the FPI," a government official told *businessline*, clarifying on the May 5 ordinance.

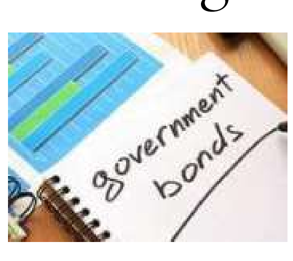
The ordinance prescribes an exemption to FPI from income tax on any interest or capital gains in G-Secs. The exemption shall apply to any interest or capital gains arising to FPIs and BIS on or after April 1, 2026, in respect of investments in G-Secs.

The rate will be based on provisions under the Double Taxation Avoidance Agreements with the country concerned

According to Sandeep Sehgal, Partner, Tax at AKM Global, taxation for NRIs has not undergone any change, hence they will be subject to the same tax rate.

In other words, interest on G-Secs shall be taxed at 20 per cent (except 5 per cent on certain notified G-Secs/rupee bonds) subject to any lower tax rate provided under the tax treaty.

Similarly, the long-term capital gains shall be taxed at 12.5 per cent and short-term capital gains at 20 per cent, subject to any treaty relief.



BLANKET EXEMPTION

"The recent ordinance removing these taxes is targeted squarely at FPIs and the BIS, and does not, by itself, extend a similar blanket exemption to retail NRI investors in G-Secs," he said.

Amarjeet Singh Arora, Partner (Financial Services, Tax & Regulatory Advisory) at BDO India, said NRIs will continue to be governed by other provisions under the Income Tax Act. "The government's immediate focus appears to attract institutional portfolio flows rather than retail or individual overseas investors; there may be some case for extending similar benefits to NRIs, who are equally contributing foreign capital to India.

Accordingly, industry bodies may seek extension of the exemption to NRIs as well," he said.

According to Nehal Sampat, Partner at Price Waterhouse, SEBI had already relaxed caps with respect to NRI investors for FPIs that are investing solely in G-Secs. These FPIs can have, for example, NRI investors only. "NRIs can benefit from tax exemption announced for interest and capital gains from G-Secs for FPIs by investing in offshore funds and GIFT IFSC Funds registered as FPIs," he said.

POHA PRIDE

FLAKY DELIGHTS. A vendor prepares *poha* for distribution during a celebration marking World Poha Day in Indore, Madhya Pradesh. World Poha Day is observed annually on June 7 to celebrate the versatile and widely-loved flattened rice dish, which remains a breakfast favourite in many parts of the country, especially in Maharashtra and Madhya Pradesh PTI

Sree Supranayi's space dream takes flight with AnduraX

The girl who aspired to become an astronaut is building a re-entry space vehicle

KV Kurmanath
Hyderabad

Sree Supranayi Kanamarlapudi had dreamt of becoming an astronaut as a child. She kept the dream alive growing up, and earned a B.Tech in Aerospace Engineering.

She has now founded a spacetech start-up, AnduraX, in Vijayawada, that is well on its way to building the country's first re-entry space vehicle capable of manoeuvring in low Earth orbit and retrieving *niche* pharma or semiconductor products manufactured in space.

"I always wanted to be an astronaut, inspired by my mother's stories about a civilisation on the moon. By the time I turned 25, that vision fuelled my desire to enter the space industry," says Kanamarlapudi.

After she graduated from Amrita Vishwa Vidyapeetham, Coimbatore, she completed her MBA in Finance. After three years at a reusable launch vehicle start-up, she founded her own start-up with her former colleague, Nirvik Choudhury, as a co-founder. Supported by government-backed funds such as Nidhi Prayas, SISFS and Meity TIDE, the two-year-old start-up is focussing on building autonomous re-entry vehicles for microgravity R&D and in-orbit manufacturing.

Sree Supranayi Kanamarlapudi

"Space offers a unique microgravity environment without the traditional constraints of Earth's gravity. This serves as an ideal platform for manufacturing high-value products such as pharmaceutical drugs, semiconductor chips, and fibre optics, yielding far better results than on Earth," she told *businessline*.

AnduraX was part of KickSky Space Lab Cohort 2. It tested its electronic platform last week using Red Balloon's maiden stratospheric balloon test. "We successfully reclaimed the payload in Karnataka," she said.

MICROGRAVITY EFFECT

The importance of space manufacturing is that, in the absence of gravity-driven effects such as convection and sedimentation, it allows materials and biological structures to form differently. This has direct implications for multiple industries.

"In pharmaceutical research, protein crystals grown in space can be significantly larger and structurally precise, improving the ability to design drugs for complex diseases such as cancer and neurodegenerative disorders," she says.

Similarly, space manufacturing allows for the creation of "purer, highly heat-resistant semiconductor wafers" that are incredibly difficult to produce under Earth's gravity. "This directly benefits industries building high-efficiency AI data centres," she claimed.

The start-up is getting ready for an upcoming opportunity in this area. "The biggest bottleneck in making space for the next manufacturing hub is logistics – specifically, return logistics," she points out.

India the largest source for immigrant founders of US unicorns, but not 'shooting for the stars' yet

Sindhu Hariharan
Chennai

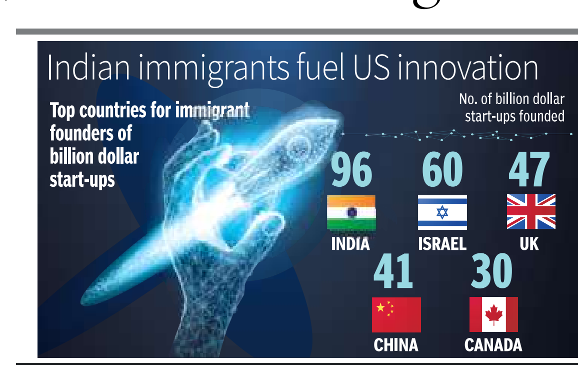
Indicating the role played by Indian immigrants in the US innovation sphere, India has emerged as the single largest source country for immigrant founders of US unicorns (billion-dollar startups).

Indian immigrants founded or co-founded 96 US unicorns, the highest for any country. Israel ranks second with 60, followed by the UK with 47 and China with 41, according to a new National Foundation for American Policy (NFAP) note.

However, *businessline* analysis of the data shows that despite the lead, Indian immigrants-founded unicorns are not playing in the big leagues yet, and are a more recent phenomenon.

MARKET VALUATION

Perplexity, founded by Aravind Srinivas just over three years ago, is the highest-valued US unicorn founded by an Indian at $20 billion. It ranks on the 12th spot by valuation. The majority of the 96 companies founded by Indians are valued below $10 billion.



Source: The National Foundation for American Policy

At the 12th spot, Perplexity is the highest valued immigrant-founded US private unicorn

Further, as a percentage of its immigrant population, the number of unicorns founded by Indians is lower than that of other countries.

Prasanna Sankar (Rippling), Deepak Pathak and Abhinav Gupta (Skild AI), Mohit Aron (Cohesity), Prabhakar Reddy and Raghu Yarlagadda (FalconX) and Manu Kumar (Carta) are among Indian founders of US unicorns, as per NFAP.

SOCIAL CONSTRUCT

Experts note that the social construct of Indians immigrating to the US is such that they aim for a stable job rather than start risky ventures. Employer-sponsored visas like H-1Bs also make it more cumbersome for Indians to start ventures, they add.

"Given the relatively humble backgrounds Indians grew up in, they are less likely to 'shoot for the stars' like Elon Musk did," Arun Natarajan, founder and MD, Venture Intelligence, said. However, they do better as serial entrepreneurs, especially those who are well set financially after exiting first ventures, he added.

Indians feature prominently among founders, who first arrived in the US as international students.

There are 76 Indians, who came to the US as international students and founded unicorns.

Overall, immigrants have founded or co-founded 59 per cent (455 out of 775) of America's privately held start-up companies valued at $1 billion or more, the NFAP report shows.

QUICKLY.

Tata Steel may defer UK unit's low-carbon project

New Delhi: Tata Steel may have to defer the timeline of its £1.25-billion UK project by six to eight months for transitioning to a low-carbon steel-making process, as the company is facing delays in "securing access to electricity." As part of its decarbonisation plan, Tata Steel is setting up the UK's largest low-carbon EAF (electric arc furnace) project of 3.2 million tonnes capacity at Port Talbot to replace its now-shut blast furnace plant of similar capacity. Previously, the company was looking to begin operations of the EAF project by late 2027 or early 2028. PTI

Kerala offers OTS for co-op loan defaulters

Thiruvananthapuram: The Kerala government has launched a one-time settlement scheme, 'Ashwas-2026', for borrowers who have defaulted on co-operative society loans. The objective is to reduce mounting arrears and protect depositors' interests, according to an official statement issued by the office of Co-operation and Excise Minister M Liju. PTI

Buyers prefer to spend on tablets, laptops rather than on smartphones

SHIFTING TREND. As prices soar, smartphone sales dipped 5% in Q1, while devices like tablets grew 5%: IDC

Vallari Sanzgiri
Mumbai

With smartphone customers holding back on purchases in the face of price inflation, there is a demand for complementary devices such as tablets and laptops that analysts feel may lead to a full-blown trend in the coming months.

Shipment data from the first three months of the year show that smartphone sales dipped 5 per cent while other device markets like tablets grew 5 per cent. Similarly, the laptop market delivered a "standout performance" in Q1 with 4.4 million shipments or 31.1 per cent on-year increase, as per IDC.

Analysts speaking to *businessline* said that while overall sales remain muted owing to the memory cost inflation, customers may switch devices in coming quarters. Companies stressed the smartphone dip also appears to be manipulating device features towards this end.

"There is a push from brands in the face of price inflation. Tablet specifications are also changing to meet smartphone requirements recently," said Faisal Kawoosa, Founder of Techarc.

To Kawoosa's point, tablets like Realme's Pad 3 Lite (₹15,000) provides better screen display and battery life compared to the same brand's Narzo90x (₹17,000) although the smartphone's camera quality is superior.

CHANGING NEEDS

"The market is seeing an increased preference for larger screen sizes, as consumers are using tablets as both a media consumption device and a productivity tool. This is strengthening the premiumisation trend as consumers demand higher configurations and better displays. In Q1 2026, the market experienced a double-digit increase in ASP. Though the memory cost inflation also affected the

ADAPTING TO CHANGE. Firms hit by the smartphone dip also appear to be manipulating device features

prices, its impact was relatively limited in the quarter," said Anshika Jain, Principal Analyst at Counterpoint Research.

PROMINENT TREND

"The more prominent trend is the growing use of tablets as a complementary device rather than a replacement for smartphones, while for some consumers, serving as an affordable alternative to laptops, considering the current cost pressures and macroeconomic uncertainties-,"said Jain. Similarly, a study by Techarc stated that users are shifting some of their mobile expectations to laptops: longer unplugged battery life, anytime-anywhere readiness, AI-assisted functionality and premium thin-and-light design. It estimated that 88 per cent laptop users agree their laptop expectations were defined by smartphone experiences."Despite persistent upward pressure on PC prices due to rising component costs, particularly DRAM and GPUs, consumer demand has remained resilient. With prices having increased over the past two quarters and expected to rise further in the coming months, proactive and transparent communication from vendors, partners, and channel stakeholders has encouraged early purchase decisions, thereby helping sustain overall market demand," Bharath Shenoy, Research Manager, Devices Research, IDC.

IDC expects cautious laptop sales in the second half of the year compared to the first half when favourable supply allocations, aggressive channel stocking, and front-loaded procurement ahead of anticipated price hikes, offered favourable momentum for the laptop market.

However, Shenoy pointed out that laptops too have noticed a softness in the market since April. "Usually, there is back-to-school demand, which not there now because customers want good offers during festive sales. So sales may carry forward to Q3 when they expect better deals," said Shenoy.

As firms go AI-native, scrutiny grows over AI-linked job cuts

Sanjana B
Bengaluru

As technology companies increasingly cite AI-led transformation while reshaping their workforce, experts are questioning whether the march toward becoming "AI-native" reflects genuine business reinvention or a convenient justification for layoffs. Globally, firms including Atlassian, Block, Meta, IBM, and Oracle have cited AI-driven efficiency gains, organisational restructuring, or a shift toward AI-first operations while reshaping their workforces.

"AI-native has become one of the most overused terms in business today. While it sounds like a destination that companies have already reached, in reality, for most organisations, it is still an aspiration. A truly AI-native company has not simply deployed a few AI tools or automated isolated tasks but redesigned how work gets done from workflows and decision-making to operating models and customer delivery. By that definition, very few companies are AI-native today," Husain Tinwala, CEO, upGrad Rekrut, explained.

WORKFLOW CHANGE

According to the upGrad Rekrut Tech Talent Landscape Report, only 16 per cent of organisations have redesigned workflows end-to-end around AI.

The remaining 84 per cent are introducing AI within existing structures rather than transforming them altogether. This distinction, Tinwala added, matters because an increasing number of workforce reductions are being linked to AI transformation.

Globally, several technology companies have tied workforce changes to AI-led transformation

If an organisation has not fundamentally redesigned its operations, it becomes difficult to attribute workforce reductions solely to AI-driven productivity gains.

Neelabh Shukla, Chief Business Officer, Careernet, echoed this, adding that AI-native announcements arriving without corresponding details or demonstrated productivity outcomes invite scrutiny.

The organisations making this transition can show what they are building, not just what they are promising and restructuring away from.

Workforce reductions are influenced by a combination of factors like economic conditions, margin pressures, post-pandemic hiring corrections, changing business priorities, and cost optimisation efforts. While AI may be part of the story, it is rarely the entire story.

BUSINESS CYCLES

"In previous business cycles, organisations explained restructuring decisions through business performance, market conditions, or financial realities. Today, AI is sometimes a singular explanation, even when multiple business drivers are at play. Employees deserve a more complete understanding of these decisions," Tinwala shared. Meanwhile, Shukla said, the more progressive organisations are explaining the specific workflows being automated, the roles most likely to evolve, and the reskilling pathways available.

Centre hikes domestic LPG price by ₹29 amid OMC losses

Our Bureau
New Delhi

The government has increased the price of the 14.2 kg domestic liquefied petroleum gas (LPG) by ₹29, marking the first hike in the current financial year. With the latest revision, the price of a LPG cylinder in Delhi will increase to ₹942 from ₹913. However, this is the second increase in domestic LPG price — used in more than 33 crore households — since the conflict in West Asia intensified from February 28, 2026. On March 7th, the government had raised domestic LPG prices by ₹60 per cylinder.

The Oil Ministry on Sunday said, "The cost of supplying a cylinder has risen to over ₹1,600, an under-recovery of about ₹700 on each domestic cylinder, against a Saudi CP for LPG that has risen by about 46 per cent since February."

The Indian household continues to buy cooking gas much cheaper than the household in any neighbour-

ing country, and far below the price paid in advanced economies such as the United States, Australia and Canada, it added.

A beneficiary of the Pradhan Mantri Ujjwala Yojana (PMUY) pays an effective ₹642 for a cylinder, and the general consumer in Delhi ₹942, against a cost to supply that has now risen to over ₹1,600.

RETAIL PRICES

Any household can buy as many cylinders as it needs at ₹942. A PMUY beneficiary will additionally receive the direct benefit transfer of ₹300 a cylinder on the first four refills each year— broadly the average annual consumption of a typical Ujjwala household, the Ministry explained. Even a non-PMUY household would pay about ₹700 below the market-linked cost of the cylinder. Retail prices differ marginally across locations on account of distribution costs, it added.

As the conflict tightened the Strait of Hormuz — about 54 per cent of India's LPG consumption is routed through the SoH, leaving the cooking-gas supply directly exposed to the disruption.

The price hike comes after the under-recoveries of the PSU oil marketing companies — Indian Oil Corporation (IOCL), Hindustan Petroleum Corporation (HPCL) and Bharat Petroleum Corporation (BPCL) — started rising since the start of June.

The under recovery from selling LPG to domestic consumers below market rate has risen to around ₹700 per 14.2 kg cylinder as of June 4th from roughly ₹650 per cylinder last month.

Even for the March 7, 2026 LPG cylinder price hike of ₹60, the government absorbed ₹74 per cylinder.

Tata Motors CV redraws strategy to insulate itself from market cycles: Chandrasekaran

Amit Vijay Mohile
Mumbai

Tata Motors' commercial vehicles business is overhauling its business model to reduce dependence on the domestic cyclical market as geopolitical disruptions, freight volatility and technology shifts reshape the global commercial mobility industry.

The strategy, outlined in Tata Motors commercial vehicles' FY26 annual report, marks one of the company's sharpest structural pivots in years as the newly demerged entity expands into software, services, exports, electric mobility and alternative fuel technologies to build more resilient and recurring revenue streams beyond vehicle sales.

Chairman N Chandrasekaran said the company had reorganised itself into an "8-vertical structure" aimed at creating "new revenue streams while de-risking the business from economic cycles."

Tata Sons Chairman N Chandrasekaran

RISING UNCERTAINTY

The shift comes amid rising uncertainty across the global freight ecosystem, with the chairman flagging US tariffs, supply-chain reconfiguration, uneven economic recovery and the West Asia crisis as emerging risks reshaping commercial mobility markets.

Managing Director and CEO Girish Wagh described FY26 as a "defining year" for Tata Motors CV, saying the demerger and standalone listing sharpened strategic intent, strengthened governance and enabled "clearer capital allocation choices, faster decision-making and a deeper alignment between strategy and outcomes."

The company reported FY26 revenue of ₹83,855 crore compared with ₹76,359 crore in FY25, while EBITDA margins improved to 12.3 per cent. Return on capital employed (ROCE) stood at 72.3 per cent, among the highest in the global commercial vehicle industry, according to the company.

STRATEGIC SIGNAL

But the bigger strategic signal in the report was the growing importance of businesses outside traditional truck manufacturing. Tata Motors said its non-cyclical businesses grew 18.2 per cent in FY26, led by spares and services.

The annual report repeatedly stresses on "customer economics" — signalling that Tata Motors increasingly sees trucks not merely as hardware products but as data, uptime and operating-efficiency platforms.

Its connected vehicle platform Fleet Edge crossed one million connected vehicles during the year, while Fleet Verse — Tata Motors' digital commerce platform — recorded growth across vehicle sales, bookings and enquiries. Wagh said AI-led insights around fuel efficiency and driver behaviour were helping customers systematically lower operating costs, improving renewal rates and fleet engagement.

As iron ore imports surge, India emerges as a new force in global dry bulk shipping

T E Raja Simhan
Chennai

India's growing appetite for imported iron ore is giving a boost to global dry bulk shipping market, which is seeing its strongest first-half performance since 2023.

Data compiled by Greece-based shipping analytics firm Signal Ocean shows that India imported a record 5 million tonnes (mt) of iron ore in the January-March quarter of 2026.

THE IMPACT. The rise in imports reflects structural changes within India's steel industry

HOGGING CAPACITY

Iron ore imports were up 127 per cent from 2.2 mt in the corresponding period last year, and more than four times the 1.1 million tonnes imported in the first quarter of 2024. The growth also continued on a sequential basis. Imports rose 38.9 per cent from 3.6 mt in the October-December quarter of 2025, bucking the seasonal slowdown typically seen after the year-end holiday period.

India-bound iron ore cargoes, particularly from Brazil, are starting to absorb global vessel capacity and emerging as a driver of freight rates in the coming months, the report said.

Brazil emerged as India's largest supplier, accounting for 1.8 mt or about 36 per cent of total imports during the quarter. Oman supplied around 735,000 tonnes, while Australia contributed 164,000 tonnes. New Mangalore, Visakhapatnam, Hazira and Jaigarh are among the ports handling imported iron ore, industry sources said.

India's installed crude steel capacity crossed 220 mt in 2025-26. Concerns over the reliability of some pellet supply flows from West Asia have also encouraged Indian buyers to diversify sourcing and rely more heavily on established long-haul suppliers, including Brazil, according to the report.

COASTAL OPERATIONS

Indian steelmakers with coastal operations have been among the strongest drivers of import growth, as imported seaborne ore became increasingly viable relative to inland sourcing costs. JSW Steel, one of India's largest steel producers, has expanded capacity at both Vijayanagar and Dolvi, increasing requirements for premium-grade imported ore, said the report.

Aruna Sharma, former Steel Secretary, said that import of higher-grade iron ore from Brazil and Oman containing 62-65 per cent iron, are on the rise due to their superior quality.

RInfra urges review of surveillance framework

Our Bureau
Bengaluru

Reliance Infrastructure has urged market regulator SEBI and stock exchanges NSE and BSE to review the Additional Surveillance Measure (ASM) framework linked to insolvency proceedings, citing concerns over its impact on liquidity, price discovery and on more than 7 lakh retail shareholders.

CALIBRATED APPROACH

In a representation submitted to the regulators, the company said the current framework permitting trading only once a week within a narrow ±5 per cent price band results in mechanical and predictable price movements that do not adequately reflect business fundamentals or operational performance and affect shareholder value. Reliance Infra has proposed a calibrated approach that retains safeguards such as gross settlement, 100 per cent margin requirements, Additional Surveillance Deposit and price-band protections while enabling more effective price discovery.

The company suggested alternatives including a periodic call-auction or a wider and graded price band to facilitate genuine two-sided trading.

It also highlighted that the ASM framework was triggered despite the National Company Law Appellate Tribunal staying both the insolvency admission order and the Corporate Insolvency Resolution Process against the company.

The company is not under the control of a Resolution Professional and is managed by the board in the normal course of business.

Brokers seek market maker carve-out to reduce impact of tighter bank lending norms

Suresh P Iyengar
Mumbai

With the RBI's revised deadline for tightened bank lending norms for brokers' proprietary trading coming into effect from July 1, leading brokers associations have submitted a proposal to the Industry Standards Forum (ISF) to allow bank funding only for non-speculative portion of their proprietary trading that is substantially hedged.

ISF is a forum that formulates standards for implementation of regulations in consultation with SEBI.

Raising concern over bank funds being used for speculating in equity markets, the RBI has directed banks to seek full collateral against credit facilities for proprietary trading by brokers.

Interestingly, the RBI has provided concessions for market makers in the new lending norms. However, capital market regulator SEBI's market-maker framework is restricted to boost liquidity in SME platform and does not apply to equity derivatives markets.

Following the development, the Commodity & Capital Markets Participants Association of India, Association of NSE Members of India and Bombay Stock Exchange Brokers' Forum have submitted a representation to RBI. Subsequently, CPAI also submitted a note to the ISF requesting it to formally define and register liquidity providers (LP) as in global equity markets. Under the proposed framework, each LP can be assigned a dedicated unique trading code exclusively for LP activity, said sources privy to the development. Once SEBI recognises LPs officially, banks can treat them more like market makers — with less stringent cash collateral requirements, they added.

WHO QUALIFIES

A proprietary trader qualifies as an LP only if its trading portfolio is substantially hedged and carries limited market risk.

To qualify as an LP, the SPAN margin — the ratio of Standard Portfolio Analysis of Risk margin to total margin.— should be less than 50 per cent of the total margin requirement. A trading on the equity cash and derivatives markets in India attracts SPAN Margin and Extreme Loss Margin (ELM).

With SEBI recognition, banks can treat LP as market-maker whose guarantees require only 50 per cent cash collateral instead of 100 per cent as newly proposed.

The CPAI has requested the ISF to recommend this framework. Major markets such as Hong Kong (HKEX), USA (CME, CBOE), Europe (Eurex, ICE) and Singapore (SGX) already have LP frameworks.

Delhi to add 2,800 e-buses under PM E-DRIVE

Press Trust of India
New Delhi

The Delhi government plans to induct 2,800 air-conditioned low-floor electric buses under the Centre's PM E-DRIVE scheme to strengthen public transport connectivity and promote sustainable mobility in the national capital, Transport Minister Pankaj Kumar Singh announced on Sunday.

PROPOSED FLEET

The proposed fleet will comprise 1,400 nine-metre and 1,400 12-metre electric buses, aimed at improving accessibility across the city and enhancing connectivity in underserved and peripheral areas, according to a statement.

The induction is part of a broader strategy to expand Delhi's public transport network and increase the share of zero-emission vehicles in the city's bus fleet.

"The planned induction of 2,800 new electric buses will significantly strengthen connectivity, improve commuter convenience and accelerate our transition towards sustainable mobility," Singh said.

QUICKLY.

India, Indonesia eye deeper ties in defence, semicon

New Delhi: External Affairs Minister S Jaishankar hosted his Indonesian counterpart Sugiono for wide-ranging talks on Sunday, exploring ways to deepen cooperation in areas of defence, maritime trade, investments, pharmaceuticals, semiconductors and food security. Sugiono is currently on a three-day visit to New Delhi. In a post on 'X', Jaishankar said the India-Indonesia Comprehensive Strategic Partnership has witnessed strong growth in recent years. PTI

'India's energy demand to reshape global markets'

St Petersburg: India will account for about half of global oil demand growth over the next decade, Igor Sechin, chief executive of Rosneft, said. Speaking at the St. Petersburg International Economic Forum, he said India's oil consumption is expected to rise 44 per cent to nearly 8 million barrels per day by 2035 and electricity demand at 3,000 terawatt-hours. PTI

Panic-buying pushes urea and DAP sales to record levels in key States

SUPPLY SCARE. Post W. Asia war supply shock shows breakdown in demand-side rationing amid market anxiety

Prabhudatta Mishra
New Delhi

Fertilizer sales data from March-April 2026 reveal a massive, unseasonal spike in consumption of that chemical substance that has exposed the structural fragility of the government's land-record-linked subsidy scheme.

Following the outbreak of the US-Israel conflict against Iran, which severely disrupted global crop nutrient supply lines, farmers across major agricultural states like Maharashtra, Haryana, Punjab, Uttar Pradesh and Karnataka engaged in intense panic-buying.

PILOT UNDONE

In Haryana alone, urea sales skyrocketed by 80 per cent to 1.71 lakh tonnes (lt), while di-ammonium phosphate (DAP) sales more than doubled to 0.37 lt, compared to the same period last year.

This sudden surge has largely undone the government's highly-touted victory of a pilot project achieved during the 2025-26 rabi season. A successful pilot scheme in Haryana restricted subsidised sales based on land records and crops sown, cutting urea consumption by 1.26 lt and saving the exchequer over ₹700 crore in a season.

However, the post-war supply shock demonstrates that rigid, digitised demand-side rationing breaks down under market anxiety, failing to insulate domestic agriculture when critical geopolitical corridors are compromised.

The government recently claimed it was a success in Haryana when there was a saving of nearly 3.4 lakh tonnes (lt) 2025-26 — 1.5 lt in rabi and 1.9 lt in kharif — under a pilot scheme after farmers were sold the subsidised fertilizers based on their land records and crops sown.

RIPPLE EFFECT. The trend extended far beyond Haryana, with official data showing a widespread surge in both urea and DAP sales across multiple States ANI

Under the pilot in the last rabi sowing season in Haryana, urea consumption declined by nearly 1.26 lt and DAP consumption by 23,489 tonnes between October 8, 2025 and February 18, 2026, compared to the corresponding period of the previous year, resulting in an estimated subsidy saving of ₹700.53 crore, the government had told the Parliamentary Standing Committee (PAC).

DEMAND SPILLOVER

The trend extended far beyond Haryana, with official data showing a widespread surge in both urea and DAP sales across multiple States. Even in Gujarat and West Bengal, where urea sales experienced a marginal decline, panic over global supply lines triggered a massive run on phosphate-based fertilizers, with DAP sales skyrocketing by 71 per cent and 77 percent respectively.

The Department of Fertilizers had previously informed the PAC that the pilot project was still in its early stages and would undergo an independent evaluation before any potential national rollout.

Highlighting the data driving these reforms, Fertilizer Secretary Rajat Kumar Mishra noted in January that while 65 per cent of Indian farmers purchased only 5-7 bags of urea annually during 2024-25, 163 high-consumption districts accounted for a disproportionate 22 lakh bags (between 1 and 1.8 lakh tonnes) each.

He underscored the policy's early promise by citing a major kharif 2025 breakthrough in Haryana, where consumption dropped by 1.2 lakh tonnes for urea and 72,000 tonnes for DAP within just four months.

Rajesh Exports order puts auditors, board under the scanner

Akshata Gorde
Mumbai

The Securities and Exchange Board of India's (SEBI) interim order against Rajesh Exports has put the company's statutory auditors, audit committee and board under the scanner. It has raised questions over the failure to independently verify overseas subsidiary revenue to be as high as ₹15.15 lakh crore, and that the case may carry implications well beyond securities law.

Statutory auditors BSD & Co and PV Ramana Reddy & Co, who had signed off on the company's accounts between FY21 and FY24 have been referred for their conduct to the National Financial Reporting Authority (NFRA). Both auditors undertook during depositions to provide missing subsidiary financial statements and working papers, but had not done so as of the date of the order.

VERIFICATION FAILURE

"The most important aspect is the verification failure," said Soumya Singh, Co-Founding Partner at Thistle & Law.

"Where most of the consolidated revenue depends on overseas subsidiaries, the board, audit committee and auditors have a higher responsibility to ensure that the numbers are not just consolidated mechanically, but are capable of independent verification."

The group audit process has broken down fundamentally, with multiple inconsistencies in how revenues were consolidated, a senior auditor said. The intermediate Swiss holding entity GGR, through which Valcambi SA's revenues flowed into Rajesh Exports' consolidated accounts, did not have a statutory audit.

Rajesh Mehta, Chairman, Rajesh Exports Ltd

While Rajesh Exports said the audited financial statements of step-down subsidiaries were first consolidated at its Singapore subsidiary before being incorporated into the parent company's accounts, the Singapore entity's own annual reports stated that it prepared only standalone financial statements and was exempt from preparing consolidated accounts.

Amit Tungare, Managing Partner at Asahi Legal, said the findings raised fundamental questions about fiduciary oversight. "If 97 to 99 per cent of the company's revenue reportedly originates from overseas subsidiaries like Valcambi, and those numbers cannot be tallied, what exact data were the audit committee relying on to sign off on the financials? It suggests a potential rubber-stamp culture where independent verification was either fundamentally flawed or entirely absent," he said.

"The expectation today is that boards must have access to independent verification mechanisms, periodic audits, transaction-level visibility and effective risk reporting systems," said Tushar Agarwal, Founder and Managing Partner of C.L.A.P. JURIS.

Further, SEBI found that corporate funds aggregating to ₹338.90 crore were routed through the personal bank account of Promoter-Chairman Rajesh Mehta, for which the company failed to furnish board or audit committee approvals.

TODAY'S PICK.

The Phoenix Mills (₹1,745.20): BUY

Akhil Nallamuthu
bl. research bureau

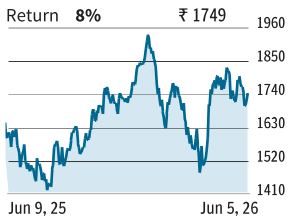
The stock of The Phoenix Mills hit a four-month high of ₹1,889.85 on May 8. But then, the price moderated and is now at ₹1,745,20.

However, it continues to stay above a base at ₹1,690, which has been holding well over the past two months.

So long as this support stays valid, the outlook will remain positive. We expect the stock to regain traction in the coming days and eventually appreciate to ₹1,920.

Therefore, traders can consider buying the stock of The Phoenix Mills now at ₹1,745 and accumulate if the price dips to ₹1,700. Place stop-loss at ₹1,660. When the price hits ₹1,820, alter the stop-loss to ₹1,700.

Tighten the stop-loss to ₹1,820 when the stock touches ₹1,875. Book profits at ₹1,920.



Note: The recommendations are based on technical analysis. There is a risk of loss in trading.

OPEC+ members agree another symbolic quota hike for July

Bloomberg

Major OPEC+ members agreed to another modest symbolic increase to their oil output quotas for July, even as a blockage of exports from the Persian Gulf prevents most of them from implementing it.

Seven nations led by Saudi Arabia and Russia will raise their collective target by 188,000 barrels a day next month, continuing the process — if only on paper — of restarting production halted several years ago, the Organization of the Petroleum Exporting Countries said in a statement on Sunday after a video conference.

With the Strait of Hormuz largely closed by the Iran war and West Asia producers forced to cut output, the OPEC+ decision remains theoretical for the time being. It could become relevant again when the waterway reopens, with buyers clamouring for barrels to replenish the world's depleted oil inventories.

"At this stage we are basically talking about hypothetical future scenarios with the bulk of the barrels stranded," said Helima Croft, head of commodity-markets strategy at RBC Capital Markets LLC.

While Russian shipments aren't directly affected by the war, its crude production has also been challenged, falling to a 10-month low in May as Ukraine intensified strikes on its oil infrastructure.

While a surge in US supply and diminished Chinese buying have prevented crude oil prices from spiralling out of control so far, fuels like petrol, diesel and jet fuel have nevertheless surged during the conflict.

The group's next meeting will be July 5.

Rajesh Exports may be dropped from PLI scheme

Press Trust of India
New Delhi

The Ministry of Heavy Industries is set to decide on removing Rajesh Exports from the list of beneficiaries under the PLI scheme for advanced chemistry cell battery storage.

Ministry sources said there is a "strong view" within the department that the company should be dropped from the scheme.

The matter will be placed before Minister of Heavy Industries HD Kumaraswamy.

"A final call will be taken in the coming days," a source said.

W. Asia conflict triggers 20% drop in outbound travel

Aneesh Phadnis
Mumbai

The West Asia conflict led to over 20 per cent reduction in overseas travel by Indians in March and April, provisional data released by the Union Tourism Ministry show.

Foreign travel arrivals declined by over 5 per cent and 14 per cent in March and April respectively, it shows.

United Arab Emirates is the largest destination for Indians, accounting for over 25 per cent of all travellers.

The airports in Dubai and Abu Dhabi are also key hubs for Indian travellers.

SIGNIFICANT DROP

Saudi Arabia is the second biggest destination. Both the countries, along with others in West Asia saw a drop in traffic due to airspace closures and flights cancellations.

Provisional data on Indian national departures released by the Ministry show that 22.34 lakh Indians travelled overseas in April, 22.5 per cent lower than last year.

In March, the number of Indians who travelled overseas declined from 28.6 per cent to 18.3 lakh. The data include the purpose of travel such as leisure, business, education or pilgrimage. It also captures details of the Indian diaspora returning to their place of residence.

SAUDI ARABIA SLIPS

Saudi Arabia slipped from second place in March, while Kuwait and Qatar dropped out from top destinations for Indians.

Thailand and Vietnam, popular destinations for Indian tourists, gained traffic in March and April.

TRAVEL RETREAT. Provisional data on Indian national departures released by the Ministry show that 22.34 lakh Indians travelled overseas in April, 22.5 per cent lower than last year PTI

The US, Australia, the UK, Canada and Bangladesh remain the biggest source market for Indian tourism.

April arrivals from Bangladesh and Japan registered growth, while other major markets saw decline.

In March, arrivals from the UK and Australia were higher in addition to those from Bangladesh. Arrivals from Bangladesh are growing in 2026, but remains far below 2024 figures.

It was the second largest source market in CY2024, but fell to the fifth spot in 2025 due to over 70 per cent drop in traffic.

"Overseas travel demand has slowed down especially to the US and Europe due to high airfares and fuel surcharges. Leisure travel to West Asia has been dented due to the war. A few corporates have delayed their meetings, incentive, exhibition and conference (MICE) travel by a year. On the inbound side, agents are waiting for the conflict to end and fares to ease for demand revival," said Anil Kalsi, Vice-President of Travel Agents Federation of India.

Global airlines slash profit forecast for 2026 over Iran war fuel shock

Reuters
Rio de Janeiro

The global airline industry nearly halved its 2026 profit forecast on Sunday, citing conflict in West Asia that has driven up fuel costs, disrupted key air corridors and exposed the fragility of a sector operating on thin margins.

The International Air Transport Association (IATA), which represents more than 370 airlines accounting for about 85 per cent of global air traffic, said in its annual report that it now expects the industry to post a combined net profit of $23 billion in 2026, well below a previous projection of about $41 billion and down from $45 billion in 2025.

The downgrade underscores airlines' exposure to geopolitical shocks and fuel volatility, even as passenger demand remains resilient, planes are flying fuller and revenues are set to rise to more than $1.1 trillion.

"There are two major factors: one is the significant increase in jet fuel prices, which has gone way higher than I think anybody would have expected, and then the disruption to the airlines in the Gulf region, so that combination has led us to reduce the forecast," IATA Director General Willie Walsh said at the group's annual meeting in Rio de Janeiro.

Walsh said he expects some smaller airlines to go bankrupt or be taken over by bigger carriers this year and next as higher fuel costs bite. US low-cost carrier Spirit Airlines shut down last month, the first airline casualty of the Iran war.

Airlines are also expected to cut unprofitable routes to protect margins, while fares are unlikely to fall soon, Walsh said.

ROBUST DEMAND

"In an environment where demand remains pretty robust, but capacity comes down, that will likely lead to a situation where fares will remain elevated," Walsh said.

IATA expects airlines' fuel bill to surge to about $350 billion this year from roughly $252 billion in 2025, with fuel accounting for nearly a third of operating costs.

Airlines seek 6-month notice for recurring airspace curbs

Rohit Vaid
New Delhi

The airline industry has asked the Centre to give at least six months of advance notice before imposing airspace restrictions for recurring events such as Republic Day, saying that last-minute announcements force flight schedule changes, cancellations and inconvenience to passengers.

In a representation to the Ministry of Civil Aviation (MoCA), the Federation of Indian Airlines (FIA) said these restrictions occur every year and are largely predictable, but notices are often issued only shortly before the events, leaving airlines and airports little time to plan operations.

Besides, FIA said that NOTAMs often undergo multiple revisions as the event dates approach, requiring repeated replanning by airlines. It also pointed to instances where airspace restrictions imposed for reserve or backup days were withdrawn at the last minute despite no activity taking place.

EASING WOES. Predictable restrictions need earlier planning to reduce disruptions and passenger inconvenience, says the Industry ANI

SCHEDULE CHANGES

"As a result, airlines are forced to undertake unnecessary schedule changes and flight cancellations even when no airspace activity is carried out," the federation said. Furthermore, the industry body has recommended that such recurring restrictions be incorporated into the Aeronautical Information Publication (AIP) and issued at least six months in advance.

According to FIA, advance publication would allow airlines to avoid opening flights for sale during impacted time windows and provide adequate time for schedule adjustments, thereby reducing passenger inconvenience. Notably, the issue was discussed by the FIA with the Indian Air Force (IAF) and the Airports Authority of India (AAI). As per the federation, the IAF supported the proposal, stating that near-permanent events such as Republic Day celebrations and Aero India could be included in AIP India.

SLOT ALLOCATION

The Air Force, FIA noted, said that such inclusion would assist planners across the Ministry of Defence, AAI and airline operators in streamlining slot allocation and operational planning.

Additionally, IAF suggested that the matter be taken up with the AAI and the MoCA for consideration, the industry body said.

However, FIA noted that AAI indicated that airspace closures for events such as Republic Day and Independence Day require approvals from the Ministry of Home Affairs and other security agencies. Meanwhile, the federation pointed out that airport operators have cited that final dates and timings are often confirmed only after consultations with multiple agencies, resulting in last-minute modifications.

As a result, such restrictions currently do not qualify for inclusion in the electronic AIP. Nevertheless, FIA, in its letter, noted that AAI has said once the dates and timings are finalised in advance by the agencies concerned, these annual events may qualify for inclusion in the publication.

'Energy shock underscores urgency for renewables'

Press Trust of India
Rio de Janeiro

The current energy shock should add even more urgency to the development of renewables, including the sustainable aviation fuel (SAF), grouping IATA.

Jet fuel prices have soared in recent times due to the West Asia crisis, and the operational costs of airlines have gone up. "The current energy shock should add even more urgency to the development of renewables, including SAF. But we have yet to see either the energy shock, the need to develop energy independence and jobs, or the urgency to mitigate climate change materialise in the incentives needed to create a viable SAF market," IATA Director General Willie Walsh said in a release.

thehindu businessline.
MONDAY - JUNE 8, 2026

Healthy data

NFHS-6 shows better health indices; more data awaited

The recently released sixth edition of the National Family Health Survey, which covered 6.79 lakh households across 715 districts between May 2023 and December 2024, points to improvements in health metrics at an all-India level, even as detailed data on some indicators is awaited. The latest fact sheet has 101 indicators, against 131 in NFHS-5 (2019-21). Over 10 new metrics find a place in the fact sheet of NFHS-6, while about 40 have not been included in it.

The Survey's focus on new indicators, such as those pertaining to financial inclusion, vaccination coverage, share of elderly population is well thought-out. The achievements in the post-Covid period are notable. Institutional deliveries are up from 88.6 per cent in NFHS-5 to 90.6 per cent. Maternal health, child immunisation and nutrition have looked up. Stunting, wasting and underweight prevalence among children has fallen. Breastfeeding of infants, as well as complementary foods for them, has also improved. Health infrastructure as well as nutritional schemes have done their bit. On the flip side, there has been an increase in C-section deliveries, from 21.5 per cent to 27.2 per cent. There is a nutritional paradox at work, with the share of both the overweight and underweight increasing in both sexes. The Survey's focus on hypertension and diabetes is a valid one.

However, the differences between the fact sheets of NFHS-5 and 6 have become a subject of debate, and the Centre has issued a timely explanation. The omissions in the latest fact sheet can be put into three categories. First, omission of the parameter at the questionnaire stage itself, such as in anaemia and disability. The capillary testing method (finger pricking) is believed to distort anaemia readings, as a result of which NFHS 6 dropped tracking it. The ICMR will conduct a separate survey with venous blood sampling, the Centre has said. The second lot of omissions comprises parameters "tracked through specialised surveys and administrative platforms...making the duplication within Fact Sheets unnecessary." These include clean cooking fuel coverage, sanitation, statistics relating to mortality and birth registration. These are expected to be covered by Sample Registration System, Civil Registration System and the Census. Third, "several indicators" such as those related to family planning, child health interventions, women's health and HIV will be presented in a more detailed report later. This should be brought out soon, as a year and half has gone by since the conclusion of the survey.

Notwithstanding the 'duplication' (multiple sources will enhance verification), a 360-degree overview of indicators should be placed in the public domain. It will also translate into better policy formulation, and assessment of existing schemes on sanitation and fuel use. Raw, unit data should be made available to researchers, as in the past, to provide critical insights. That said, the Centre's assurance on data robustness is to be welcomed.

OTHER VOICES.

The Guardian

Big tech and far right are allied in an outrage arms race

To learn of the last minutes of Henry Nowak's life would be shocking and distressing under any circumstances. The stabbed teenager begged officers for help, as they handcuffed him before realising their mistake. To watch those final moments, on the police body-cam footage released this week, is all the more immediate, and unbearable. The outrage is widely shared. But the way it has been weaponised is alarming. His family's wish is for his legacy to be a renewed effort to reduce knife crime, not increased antagonism along racial and religious lines. Instead, the unscrupulous are using the power of the footage and the speed of social media to spread myths about "two-tier policing" and turn trauma into political mobilisation. LONDON, JUNE 5

讀賣新聞
THE YOMIURI SHIMBUN

Deepen Ties by Working Together against Climate Change

International discussions on how to halt the deterioration of the marine environment caused by global warming and marine pollution due to plastic waste remain at a standstill. However, tackling such environmental problems is an urgent issue for small island nations. As a fellow maritime country, Japan must take the lead in efforts to resolve various ocean-related challenges. Aiming to raise international awareness, the first Island States Ocean Summit was held in Tokyo to discuss issues faced by island nations. The conference was hosted by the Nippon Foundation, which works to address social issues, in cooperation with the Foreign Ministry and UNESCO. Among the 300 attendees were leaders and government officials from 35 countries. TOKYO, JUNE 7

LINE& LENGTH.

TCA SRINIVASA RAGHAVAN

The dilemmas of Modi govt

The 12-year-old Modi government is looking jaded. Will voter boredom lead to a change in government in the next elections?

There comes a time in the life of governments, especially the long running ones, when after a great run they suddenly appear helpless, incompetent, bumbling. As they say in America, they appear to be on the skids which means sliding down in an uncontrollable way.

We must now seriously confront this problem in respect of the 12-year-old Modi government. Its troubles started last summer when Donald Trump, peeved that India would not give him any credit whatsoever for ending that three- day war with Pakistan, suddenly turned on India.

He grew closer to Pakistan and increased tariffs from India to ridiculous levels. All this happened so unexpectedly that the government was caught completely unawares.

Then came the American-Israeli war with Iran this year and the sharp drop in oil and gas supplies from the Middle East. Again the government was caught off guard.

And since January, the sustained withdrawal of foreign investment in the stock market has amounted to about $25 billion.

The rupee has depreciated by over 10 per cent against the dollar over a year and the RBI has been struggling to keep volatility down. It's like what happened in 1990 and 2013. The government has been forced to fiddle with the rules that determine the rate of return on foreign investment. It is, not to put too fine a point on it, a climb down.

At the same time the monsoon looks like it won't be normal. There's also an El Niño building up. There's a shortage of fertilizer, and fuel for everything. Overall, there's a strong possibility of a sharp increase in inflation.

PREFERENCES CHANGE

Well, you might say, quite correctly, that these things happen. They are happening all over the world, thanks to Donald Trump and that India is not an exception.

The problem, however, is the length of time this government has been running the country continuously. Hence the question: are we reaching the stage when people say please go, anyone other than you would be preferable? It has happened very recently to the DMK and the TMC.

Most people would say no, the Modi government is nowhere near that point. But it's still early days. The resentment that turns into massive anti-incumbency takes time to marinate.

This fate has befallen such governments in the past and it can overwhelm the Modi government also

> **The Trump tariffs, the Iran war-led energy** supply disruption, the bleak monsoon forecast — all point towards rising inflation and economic pain ahead. This could lead to voters to look for alternative options

unless it handles it all with sensitivity.

In this regard we also have to bear in mind AAP and TVK. Newcomers can cause massive upsets when the electorate is already fed up.

Indeed, even without such a phenomenon in 1964, no one would have thought that, in 1967, the Congress would lose more than two thirds of the State legislatures.

In 2011, no one thought that the Congress would be down to just 44 seats in Parliament. But both happened.

It's not just the parties. Even leaders of immense popularity and stature come a-cropper when they annoy enough people.

Indira Gandhi was one such. Rajiv Gandhi was another. From hero to zero is not all that uncommon.

VOTER BOREDOM

The BJP therefore needs to ask itself if this could happen to it. It has a solid base comprising about 220-230 seats. Those are pretty much guaranteed.

In this Parliament it has just 240 seats and is already in a small coalition. If it drops another 25, which is not at all inconceivable, it will have to form a much larger coalition.

Can this happen? It's easy to convince yourself that because there is no Opposition and because when push comes to shove you can dribble your way to the goal, you are safe.

Many people think, quite wrongly, that SIR and delimitation are exactly this. But those are lawfully mandated exercises, not political tactics of disenfranchisement that may occasionally happen.

But when the voters are either bored with you or angry, they will not heed you at all, and you can dribble as much as you want.

The mood then becomes "let's give someone else a chance". I think there's a very high probability of this now. After 12 years in power the Modi government is looking jaded.

It reminds me of a Cabinet Minister in 2013 who told me and a colleague that they were tired now and that time had come to sit on the verandah and watch the river flow by.

'Fiscal health index' rewards prudence alone

Developed States that historically have high social spending are unfairly ranked lower on the fiscal health charts

Christopher Sujoy Thomas
Niranjana VH
Sumalatha BS

The NITI Aayog has published two editions of its Fiscal Health Index (FHI) using audited Comptroller and Auditor General (CAG) data for the financial year 2022-23 in January 2025 and the financial year 2023-24 in March 2026, to examine and benchmark the fiscal performance of states in India, especially that of 18 major general category states.

A comparative analysis of the FHI for 2022-23 and 2023-24 shows discrepancies in State-level fiscal performance. Odisha successfully maintained its achiever position by increasing its score from 67.8 to 73.1 across two years. Goa also moderately improved from 53.6 to 54.7, and Haryana has made a noticeable rise from 29.3 to 32.9, moving from the aspirational to performer tier.

On the other hand, Bihar has marginally improved from 36.1 to 36.2. Meanwhile, Jharkhand improved its position despite a moderate decrease, with its score dropping from 55.2 to 44.3, causing a downgrade from achiever to front runner.

Similarly, Karnataka's score dropped from 46.2 to 20.2, and Telangana's from 47.9 to 44.3, both got downgraded to the performer tier.

Tamil Nadu has faced a major drop from 39.5 to 32.1, moving from performer to aspirational tier, while Kerala's score also declined from 28.9 to 27.3, remaining in the bottom aspirational category.

The comparison shows a broadening 'Southern Fiscal Paradox', where States with traditionally high social spending seem to be disadvantaged, whereas fiscally restrained States get comparatively higher rankings in the index. The fundamental question that arises is whether the FHI, in its current form, is a true measure of fiscal health or an index of fiscal restraint that rewards States for cutting expenditure and borrowing less.

GSDP DENOMINATOR TRAP

One of the core issues in the index is the use of Gross State Domestic Product (GSDP) as a denominator across various sub-indicators like Capital Outlay/GSDP, Gross Fiscal Deficit/GSDP, and Outstanding Liabilities/ GSDP.

When States' GSDP increases rapidly, as seen in the case of mineral-rich Odisha, the GSDP-normalized ratios would automatically improve even when absolute fiscal performance remains the same. On the contrary, a State that increases its capital expenditure (capex) but experiences slow GSDP growth is simultaneously penalised.

This procyclicality structurally benefits resource-rich States and punishes the States whose development has been built on human capital and services rather than natural resources.

A similar discrepancy is evident in the measurement of revenue mobilization. Both sub-indicators, namely State Own Revenue/GSDP and State Own Revenue/Total Expenditure, merge institutionally earned tax revenue with geographically endowed non-tax revenues like mining royalties in Odisha, and mineral or resource-linked PSU dividends in Chhattisgarh.

No State can manufacture these

FISCAL HEALTH. Quality of spending matters

mineral deposits, nor can these geographical advantages enjoyed by these States be replicated through policy. Thus, mineral-rich States consistently top the revenue mobilization rankings not due to their superior tax administration or fiscal effort, but rather due to geological advantages. To obtain a much more credible picture of true fiscal self-reliance, it is preferable to differentiate own-tax revenue from own non-tax revenue and to introduce an indicator of tax buoyancy.

The comparative analysis of all 18 major general category States in the FHI based on composite score change, rank movement, and tier transition across both editions has revealed that five States, Haryana, Bihar, Goa, Jharkhand, and Maharashtra improved, seven States Odisha, Uttar Pradesh, Madhya Pradesh, Rajasthan, West Bengal, Andhra Pradesh, and Kerala remained stable, and six States Chhattisgarh, Karnataka, Telangana, Tamil Nadu, Gujarat, and Punjab deteriorated.

As Tamil Nadu got degraded from the performer tier to the aspirational tier in FHI 2026, both Kerala and Tamil Nadu, which were regarded as India's undisputed leaders in literacy, life expectancy, and composite human development outcomes, now occupy the bottom-most position in the index. On the other hand, Odisha, Goa, and Jharkhand, which ranked poorly on the human development outcomes, have occupied the top positions in fiscal health.

This is not a mere coincidence; it is structurally produced. High-developed States bear high committed expenditure as the fiscal legacy of their social investment over decades. They often receive proportionately lower Central devolution despite contributing more to the national GDP.

The FHI penalises all of this, and it rewards States that maintain fiscal surpluses while their citizens lack access to the quality public services they deserve.

Thus, States that are fiscally healthy but poor in human development outcomes must be encouraged, in order to spend more on social development, not celebrated for fiscal restraint.

The Fiscal Health Index is a good indicator, and its methodological consistency is a true strength. But its present form requires modifications. Measuring fiscal health only based on fiscal indicators mislead States' performance in development. Therefore it should be linked to States' socio-economic development than mere performance in fiscal indicators.

States must be nudged to spend more on their social development.

Sumalatha is Assistant Professor, Gulati Institute of Finance and Taxation, Thiruvananthapuram; Thomas and Niranjana are students of economics

BELOW THE LINE

Nvidia CEO Jensen Huang
REUTERS

Humour or marketing?

Acknowledging your partner Jensen Huang style. During his GTC Taipei keynote, the Nvidia founder opened with a giant slide displaying almost 150 partner logos, as he acknowledged the companies that help build the chip giant's AI infrastructure.

Huang announced that he wanted to thank every partner individually and proceeded to walk across the stage, stopping to pose for photographs with each logo.

As the exercise stretched on from one partner to next, the audience started to erupt in laughter, as the sheer size and reach of the world's most valuable company became apparent.

Better late than never

When the stock exchanges are executing orders in nano-seconds and trade cycles are being attempted at T+0, an administrative warning letter dated May 25 by the capital market regulator SEBI to ICICI Prudential AMC was received through email on June 2 and the disclosure was made on June 3.

Though there was no major breach, people are wondering whether there was a slip between the cup and the lip.

Wheels of virtue

Austerity can be a demanding virtue. Especially when there are cameras around.

This week, Delhi's favourite visual was ministerial car-pooling. With the Prime Minister urging curbs in government expenditure, several Union Ministers duly arrived for the Cabinet meeting in shared vehicles, producing exactly the sort of images that communications teams dream about and television channels happily replay.

The moment, however, proved short-lived. Ahead of a conference the following day, organisers hosting a senior Union Minister reportedly received a request that no photographs or videos be taken during the Minister's arrival or departure.

Cameras would be welcome, but only once the guest of honour was safely inside.

The instruction may well have been routine. Yet its arrival so soon after the public celebration of shared transport has given Delhi's professional eyebrow-raisers plenty to chew on. The obvious question, whispered rather than spoken aloud, was: what exactly was not meant to be photographed?

After all, if the arrival was entirely unremarkable, why the concern about who might be watching the driveway? In the Capital, where optics often enjoy a longer shelf life than explanations, the request has generated more curiosity than the event itself. Some journeys, it seems, are meant for the cameras; and some are best left out of the frame.

Unperturbed

The Sangh Parivar didn't seem perturbed over the happenings in Tamil Nadu's BJP. A little bird said it took over 90 years for the parivar to ascend to power in Delhi.

"Probably, we will get another one better than Annamalai?" the little bird said. **Our Bureaus**

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Eating through the noise

A book that defends sensible eating

BOOK REVIEW.

Mangaiyarkarasi J

Every few months, people seem to reinvent nutrition certainties, and it almost always seem to run on a panic mode. Rice is bad; Keto is good; supplements are a must to be nutritionally complete and protein is suddenly needed in quantities that our grandparents somehow survived without. In an age of nutrition anxiety and 'expert' advice at every corner, food has weirdly become complicated.

In *Smart Calories and Common Sense*, Anoop Misra attempts to cut through this noise with an unfashionable message: eat sensibly, eat in moderation and stop overcomplicating food.

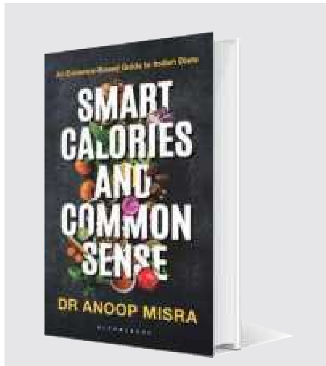
Misra writes with the calm and careful confidence of a clinician who has spent decades watching dietary fads come and go, and who has little patience for the panic that often surrounds what we eat. Written with little jargon, the book attempts to explain how certain foods are useful, why certain fears are exaggerated, and why common sense remains one of the best tools we have for eating well.

Early on, Misra stuffs dense facts about the basics of nutrition, which may seem like something out of a textbook. But the groundwork is essential. It seems like he wants readers to understand not merely what to eat, but why certain foods behave the way they do.

It is also filled with interesting "easy readings" section — the sort we are tempted to share with that friend obsessed with the latest health fad. In one such section on protein supplements, while acknowledging their legitimate use in certain deficiencies and conditions, he writes: "Notably, many individuals can meet their protein needs through a balanced diet alone, making supplements unnecessary and potentially, an added expense." There is something pleasingly iconoclastic about the way Misra happily punctures the inflated language of modern diet culture that often thrives on fear and excesses.

UNDERSTANDING FOOD

Elsewhere, he demonstrates how Turmeric becomes 2000-times more beneficial and effective when eaten with pepper. Ragi, the celebrated millet, he says, is rich in calcium despite having a relatively high glycaemic index.



Title: Smart Calories and Common Sense
Author: Anoop Misra
Publisher: Bloomsbury India
Price: ₹499

He explains how chickpeas eaten with rice can moderate post-meal glucose spikes. Individually, these may sound like the sort of food facts designed for WhatsApp forwards. But Misra uses them to make a larger point: that understanding food matters more than blindly categorising it as "good" or "bad".

He even mounts a spirited defence of mangoes for diabetics, arguing that the fruit's reputation is often worse than the evidence warrants, backing this with glycaemic data and his own clinical studies. In this, the book emerges as a sane corrective showing that health and nutrition doesn't have to be complicated or costly.

But the book does occasionally feel a little North Indian in its references, which may leave some South Indian readers wanting a broader regional spread. And some sections could be a bit more expansive. The section on meats, for instance, is surprisingly brief given Misra's own observations in the earlier chapter about Vitamin B12 deficiencies among Indians, which is widely present in non-vegetarian foods and according to him, is important for CNS (Central Nervous System) functions also has a significant role in diabetes control.

Even then, the book's value as a dietary handbook still holds. For there is something refreshingly radical today about a doctor telling people to eat simple, balanced food. Not miracle supplements or superfoods — just your everyday foods, eaten with plenty of vegetables and fruits, but understood properly and eaten proportionally. In a culture increasingly addicted to nutritional shortcuts and wellness theatre, that may be the sanest advice of all.

A biography that stops at the surface

Zubeen Garg forged a soul connection with millions. This book feels assembled with the soul remaining elusive

BOOK REVIEW.

Sanjay Sarma

I have lived outside my home state Assam, for most of my life. Zubeen Garg, a few years younger than me, was a friend of friends and family.

I had followed Zubeen's trajectory from a distance, though I was neither a devoted listener nor an insider. That arm's-length familiarity gives me a particular objectivity here.

The first thing I noticed about Prosenjit Nath's biography is that its title "The Voice that Bridged Worlds" is borrowed from an article published on September 19, 2025 on musicplus.in. I wonder why a book this ambitious could not find its own language for its subject.

In his advance praise, Swanand Kirkire calls Zubeen the real "*Baawra Mann*". That, to my mind, is a fitting description of a man who was free, fluid, restless, and perpetually at war with the societal and commercial frameworks that tried to contain him.

The author competently traces the arc of Zubeen's public life: the Assam roots, the early immersion in music, giving voice to the identity struggle of Assamese youth, his struggle as a playback singer in Mumbai, the rapid ascent and commercial success, his return to the North-East, the socio-cultural impact, the humanitarian instincts, and finally the tragic end. The intent is sincere. But biography is not just chronology. The harder question is not what happened, but what was happening inside the man while it played out. On that count, the book falls short.

During his lifetime, Zubeen never seemed at peace with what he had achieved. Every summit only pushed him towards another horizon. He often likened himself to Kanchenjunga, and drew parallels with Alexander and Napoleon. He had constructed a version of himself in his head and wanted the world to accept it unquestioningly. But the emotional undercurrents driving that restlessness, and the inner architecture of a man perpetually seeking, are not chronicled in-depth.

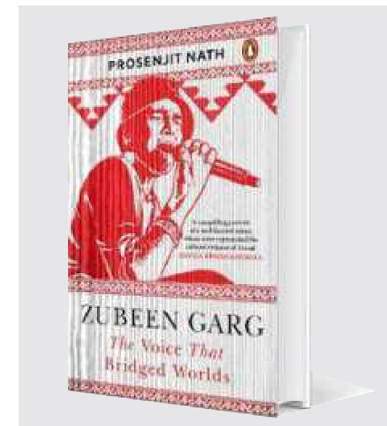
He was an enigma even to those closest to him. The grief of his sister's passing never fully left him. His wife brought stability, and much of what he achieved would not have been possible without her. Yet he kept finding his way back to the edge. He was flawed, wounded, yet fearless. In his later years, by many accounts, he was visibly self-destructive, and it took a toll on his health. The book remains silent on this.

For those around him, Zubeen gradually became less a person and more a source: of music, access, energy, spectacle, and inevitably high-stakes commerce. He gave without restraint, rarely counting the cost.

SANITISED VERSION

What the book offers instead is a sanitised account. Those who knew him were aware of his struggles with alcohol and his deteriorating health. The biography not only stays silent on this; it actively contradicts the record, claiming that he avoided excessive drinking and remained disciplined during performances. There are enough accounts in the public domain to counter that claim. When a biography chooses selective reassurance over honest reckoning, it stops being one.

Structural concerns compound this. The prose falls into a repetitive rhythm. Three-part constructions, overused metaphors, and sentences that meander when they should land, make it a predictable read. The writing feels processed rather than lived. The rhythm of a biography determines whether one feels the subject's presence. Here,



Title: Zubeen Garg - The Voice that Bridged Worlds
Author: Prosenjit Nath
Publisher: Penguin Eight
Price: ₹399

ABOUT THE AUTHOR

Prosenjit Nath is a technocrat, poet, and storyteller whose life bridges logic and lyricism. Rooted in a career in technology, he draws creative energy from the rhythm of ideas, transforming experience into evocative verse and prose

information around the man accumulates, but Zubeen rarely arrives.

Credibility wobbles too. Timelines contradict one another. A podcast is wrongly attributed to a male host when the interview referred to was clearly conducted by a well-known female interviewer. The endnotes confirm what the prose has already suggested: several references carry URL tracking markers associated with ChatGPT-generated links, indicating heavy reliance on AI-assisted aggregation. The problem is not the tools, but that they substitute for the heavy lifting a biography demands: the difficult conversations, the reluctant sources, the cross references, documents that complicate the official version.

The book however, does delve into some interesting contradictions. Zubeen often said he had no religion, yet his devotional songs crossed every faith boundary; Hindu, Muslim and Christian households alike found spiritual connection through his music. A man who rejected organised religion became, for millions, a passage to the divine. That paradox alone could have driven a great biography. Here, it is mentioned and set aside.

The most pertinent words in the book are attributed to his wife, who says future generations should remember him as a complex, flawed and generous human being rather than a perfect saint. That sentiment comes closest to capturing the essence of Zubeen Garg himself. He was never merely a musician. He was a mood, a movement, a rebellion against the status quo. His legend grew even larger after his untimely death, attaining a scale that perhaps exceeded the fame he experienced in life. Had he witnessed the magnitude of grief at his own funeral, he might finally have grasped what he truly meant to people.

A life this layered, turbulent and emotionally complex deserved a biography that felt genuinely excavated. This one feels assembled. The facts are largely present, but the soul remains elusive. And for a man who forged a soul connection with millions, that is the most significant absence of all.

The reviewer is the founder of SSARMA Consults, a partner at Civic Spectrum LLP, and Editor-in-Chief at licencetodrive.in.

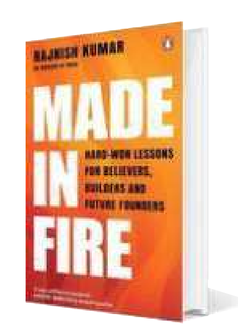
NEW READS.

Title: Giorgia's Vision

Author: Giorgia Meloni

Publisher: Rupa Publications India

This book is a manifesto on the meaning of identity in the 21st century. It speaks to the anxieties and aspirations shaping Europe and the wider West today

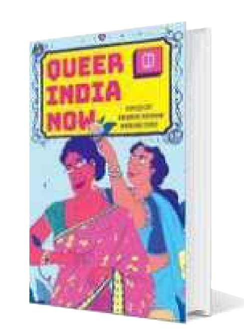


Title: Made in Fire

Author: Rajnish Kumar

Publisher: Penguin Business

This is the story of how the team behind one of India's leading travel platforms built not just a company, but an ecosystem of technology ventures along the way



Title: Queer India Now

Authors: Dhrubo Jyoti, Dhamini Ratnam

Publisher: Queer Directions

These essays offer a sobering look at the state of queer people in India, bringing you face-to-face with the challenges they encounter

thehindu businessline.

TWENTY YEARS AGO TODAY.

June 8, 2006

Free pricing for oil PSUs

Ushering in a free pricing mechanism, the Government will al low state-owned oil marketing companies (OMCs) to fix their own prices for the four petroleum products — petrol, diesel, kerosene and liquefied petroleum gas (LPG) — if internation al crude oil prices rise above $75 a barrel.

USO fund support for broadband in rural areas

In a bid to boost broadband penetration in the country, the Department of Telecom has decided to extend support from the Universal Services Obligation (USO) Fund to operators offering broadband services in rural areas. This is in addition to the earlier decision to support cellular telephone infrastructure in the villages through the USO Fund.

REL aims to generate 16,000 MW

Reliance Energy Ltd (REL) is pursuing power generation pro jects that will total 16,000 MW and entail an investment of Rs 60,000 crore. The company is also aiming to develop 2,000 MW of nuclear capacity and has constituted an in-house core team for this purpose, said Mr Anil Ambani, Chairman. He was speaking at the company's annual general meeting today.

Short take

A pragmatic monetary policy

K Srinivasa Rao

While the market had well anticipated the repo rate and policy stance remaining unchanged in the monetary policy, the RBI's business intelligence script will play a key role in guiding sectors to develop strategies to withstand geopolitical risks in trying times and sustain the growth trajectory.

The data-driven economic outlook projected in the monetary policy can be a critical input in shaping domestic and international market sentiment, even as rising energy prices, a subnormal south-west monsoon, and the El Niño effect could weigh on economic activity. Despite heightened uncertainty and disruptions to trade routes and supply chains due to lingering conflict in West Asia, the economy is well-poised to grow, though slightly below the earlier estimate.

The shades of collateral risks can be better perceived from its future outlook on growth-inflation dynamics. Against the backdrop of 7.6 per cent GDP growth in FY26, the RBI has now revised its projection downward to 6.6 per cent, and average inflation could inch up to 5.1 per cent in FY27. Notwithstanding external sector risks, the RBI is confident it can contain inflation well within its glide path.

Amid steady system liquidity since the last monetary policy and RBI's continued assurance of adequate liquidity in the banking system to meet productive needs, the weighted average call rate (WACR) has fluctuated within the corridor of 5 per cent (SDF) to 5.5 per cent (MSF).

Overall credit growth was 15.4 per cent in FY26, up from 12.1 per cent in FY25, and broad-based bank credit growth stood at 16.2 per cent as of May 15, 2026, up from 9.8 per cent a year ago, providing comfort to stakeholders.

To shore up forex reserves, now at $682.3 billion, the RBI rolled out a package of measures to attract new forex inflows and reiterated that it will ensure an orderly, market-driven movement of the INR and keep a close watch on it.

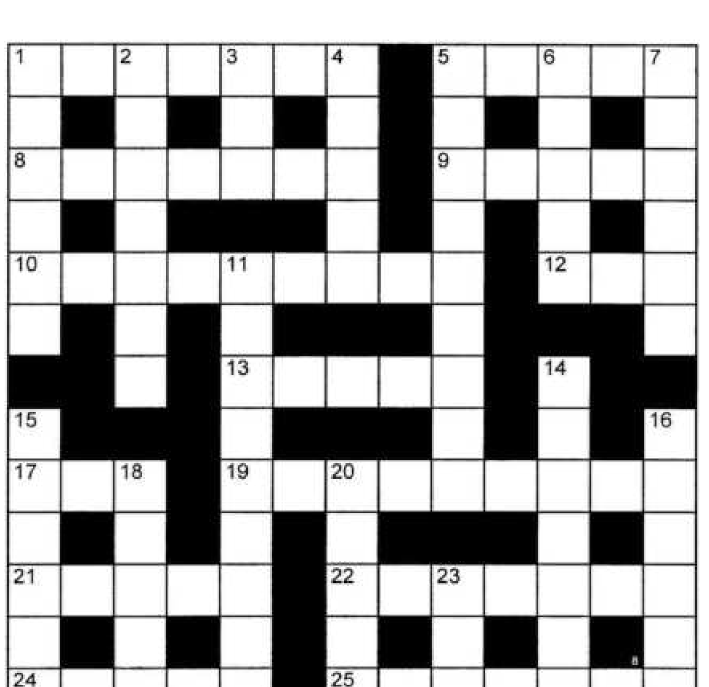
Besides the regular flow of credit, banks can take cues and explore opportunities such as ECLGS 5.0 and the enhanced scope of CGTMSE to reach out to stressed sectors.

It provides clear direction to regulated entities to augment foreign capital by exploring newly opened gateways to strengthen foreign exchange reserves.

In the given uncertain state, the design and monetary policy architecture is a pragmatic, stimulating tool for stakeholders to better manage heightening geopolitical risks.

The writer is Adjunct Professor, Institute of Insurance and Risk Management (IIRM), Hyderabad. Views expressed are personal

BL TWO-WAY CROSSWORD 2696



EASY

ACROSS
01. Multiplied by itself (7)
05. Angry (5)
08. Ornamental setting for panels behind altar (7)
09. Children's nurse (5)
10. Bird such as smew, goosander (9)
12. Move fast (3)
13. Complete; to add up (5)
17. Mischievous child (3)
19. Settling of loan (9)
21. Sheet of paper once folded (5)
22. Acrobat's swing (7)
24. Dead language (5)
25. Place where person or thing can usually be found (7)

DOWN
01. Shellfish (6)
02. Issued, gave voice (7)
03. Apply friction (3)
04. Sediment of liquor (5)
05. Placed thus at the middle (9)
06. Proprietor (5)
07. An adage (6)
11. Past twelve midday (9)
14. Introduce one person to another (7)
15. Wicked (6)
16. Thoroughfare (6)
18. Harbour guide (5)
20. Put piece on to mend (5)
23. Long white vestment (3)

NOT SO EASY

ACROSS
01. Was reconciled with self-multiplication (7)
05. Voter's mark will go to the other side (5)
08. Shelf behind altar can later be moved (7)
09. Billy's mate is a nurse to the children (5)
10. Give Mrs a green sort of diving bird (9)
12. How long it's shown to manage (3)
13. Lead tenor and alto may show what it amounts to (5)
17. A demon must simply be contained (3)
19. Settling of the debt meant prey got out of it (9)
21. One may fool around with page number in book (5)
22. One could repeat last letter of swing (7)
24. Is Est in it (5)
25. Animal's normal abode has a bath it can use (7)

DOWN
01. Little chap puts his MP right (6)
02. Ted, true to form, gave voice (7)
03. A difficulty one may be able to smooth with friction (3)
04. For example, being among doctors, they don't get drunk (5)
05. With place in the middle, call entry wrong (9)
06. Nothing Wren could do for the ship's captain (5)
07. Saw it as being a proverb (6)
11. Past midday, no one can take raft out (9)
14. It is now time for a gift (7)
15. Doing wrong is fun perhaps at fifty (6)
16. Steer round top of town to road with houses (6)
18. Person in cockpit involves one in conspiracy (5)
20. Put piece on like a beauty spot (5)
23. Vestment the Prince Consort halved (3)

SOLUTION: BL TWO-WAY CROSSWORD 2695

ACROSS 1. Admit 4. Tea shop 8. Moist 9. Moselle 10. Nub 11. Herbivore 12. Sage 13. Cast 18. Raconteur 20. Gut 21. Tribute 22. Folio 23. Repress 24. Lords

DOWN 1. Administrator 2. Mailbag 3. Tetchy 4. Timbre 5. Assail 6. Hello 7. Presentations 14. Angular 15. Unsure 16. Revers 17. Artful 19. Crimp

CHENNAI
businessline.
MONDAY - JUNE 8 - 2026

NEWS SNIPPETS.

An e-dumper locator for safe disposal of electronic waste

Developed by students, a platform called Green Grid aims to make electronic waste recycling simpler, more transparent and more rewarding at a time when e-waste is emerging as one of the world's fastest growing environmental problems.

The web-based platform combines technology, awareness tools and incentive systems to encourage people to dispose of old electronic devices responsibly instead of discarding them along with regular garbage.

According to the project description, global e-waste generation reached around 62 million tonnes in 2022, but only about 22 per cent was formally recycled. India alone generated nearly 1.75 million tonnes of e-waste in 2023-24, with less than half processed through authorised channels.

Green Grid seeks to address this gap through a set of integrated digital services. One of its central features is an 'E-dumper locator' to help users identify nearby certified recycling centres using map-based services.

Users can also schedule doorstep pickup of discarded electronics, for easy disposal.

The platform includes a green rewards system to incentivise environmentally responsible behaviour.

An 'Eco AI assistant' and an awareness hub provide educational information on safe disposal practices, sustainability and the environmental risks posed by improper handling of e-waste.

Another feature, called 'Recycling impact calculator', allows users to estimate the environmental benefits of their recycling efforts, such as reduced pollution and resource recovery. The system also includes administrative tools for monitoring pickup requests, recycling activity and user participation.

Developed using technologies including React.js, Node.js, Express.js, SQL, Google Maps API and JWT authentication, Green Grid demonstrates how digital platforms can support circular economy practices, according to a paper published in arXiv, an open access online repository.

The developers say future versions may include mobile applications, multilingual support, QR-code verification and integration with extended producer responsibility (EPR) systems.

Clean energy can save crores for Tamil Nadu textile sector

Tamil Nadu's textile industry could save up to ₹3,250 crore annually by shifting to renewable energy, according to a new report by Bengaluru-based think tank Climate Risk Horizons.

The report comes at a time when industries are grappling with rising fuel costs linked to the US-Iran conflict.

It estimates that a transition to renewable electricity could generate annual savings of ₹2,320–3,250 crore for Tamil Nadu's textile sector. A broader shift that includes replacing wood- and fossil fuel-based boilers with electric boilers powered by renewable energy could yield savings of ₹1,560–2,770 crore.

Tamil Nadu accounts for nearly a quarter of India's textile production.

The report notes that rising fuel costs have increased production costs and eroded competitiveness. Textile exports from the State have largely stagnated at around $7.4 billion since 2017.

"Transitioning towards renewable energy can save the industry billions, improve cost competitiveness and help revitalise the sector," said Rakesh Ranjan, co-author of the report.

The study also found that the sector's energy expenditure has nearly doubled over the past four years.

BIODIVERSITY LOSS

The conservation kitty just shrank 36%

EARTH SHIELD. As governments falter, the recent Global Environment Facility meet in Samarkand rested its hope on private funding

Joydeep Gupta

The Global Environment Facility (GEF) will have at least $3.9 billion till 2030 to spend on projects to conserve biodiversity in countries and across borders, combat climate change, and deal with desertification, mercury poisoning and persistent organic pollutants. This is almost 36 per cent less than the $5.3 billion that the GEF had for the four years ending in 2026 — a reflection of the reduced financing from developed countries to safeguard the earth. The US has not paid for the coming four years. India is paying $20 million, the same as it did four years ago.

On the eve of the GEF assembly, held once every four years, on June 2, its council approved a $13.49 million grant to help conserve biodiversity in three states of India — Uttarakhand, Nagaland and Tripura. The World Bank is lending $30 million for the project.

During the meet in Samarkand, Uzbekistan, from May 30 to June 6, the GEF approved 24 projects in 22 countries and promised to spend $232.5 million for them. As GEF interim CEO Claude Gascon said, GEF remains the "prime financing mechanism for the global environment" as it sponsors projects across intersecting global threats such as climate change, biodiversity loss and pollution. In Gascon's words, the world "can't afford fragmented responses to integrated crises". But he was the first to acknowledge that the money GEF had was nowhere near enough.

The Intergovernmental Panel on Climate Change and the Intergovernmental Science Policy Platform on Biodiversity and Ecosystem Services — the world's premier grouping of scientists on the subjects — have repeatedly underlined the need for billions of dollars to avoid fresh damage and repair the damage caused.

SAFE HAVENS. GEF's new project in India aims to financially empower women engaged in forest protection ISTOCK

But there is less money. That was why the 1,900-odd experts and policymakers gathered in Samarkand from around the world kept talking about the need to leverage private sector funding. There was near universal acceptance that government funding will fall far short of what is needed.

Gascon talked of every dollar paid by GEF leveraging 18 dollars from the private sector. When asked where these 18 dollars would come from, he said that would differ from project to project, and spoke of species bonds as an example. Rhino and lemur bonds were recently launched in Africa. Their success in raising money from financial markets remains to be seen.

Other senior GEF officials said most project co-financing still comes from the World Bank and its regional affiliates. They spoke of the need to go beyond this "comfort zone". Some talked of GEF grants acting as guarantors of commercial bank loans. Throughout the conference, there were sessions on how to make the language used by the development sector intelligible to private banks and investors.

LESS MONEY, MORE RED TAPE

Apart from the shortage of money, many developing country representatives spoke up at the conference about funding approvals taking too long and the processes being too complicated. In response, the conference adopted a "package to make the GEF faster, simpler and more accountable, ensuring resources reach countries more effectively".

Of the funds for 2026-30, 35 per cent has been earmarked for least developed countries and small island developing states.

Indigenous peoples' activist groups also raised the issue of funds meant for them being stuck in government red tape in various countries. In response, the GEF has decided to earmark 20 per cent of the funds for indigenous peoples and local communities. A special conservation initiative dedicated to these groups has been allocated $100 million.

The new GEF project in Uttarakhand, Nagaland and Tripura — called Conservation of Biodiversity, its Sustainable Use, Fair and Equitable Sharing of Benefits in India (CONSERVE) — will concentrate on community managed forests, wetlands, sacred groves and high-altitude meadows. With the World Bank and the UN Development Programme as the agencies to coordinate with GEF, the project will be run by the National Biodiversity Authority.

Adding to the GEF grant and the World Bank loan, the project aims to ultimately raise $75.6 million. The plan is to engage over 25,000 people, at least half of them women, in identifying, mapping, and managing areas that are being protected by communities or are in the buffer zones around protected forests.

Claude Gascon, Interim CEO, Global Environment Facility

The plan claims that "communities will not just be consulted, they will co-author the rules of governance for their landscapes. Revenue-sharing agreements will channel financial flows directly back to community institutions, and at least 40 per cent of access and benefit-sharing beneficiaries will be women or women-led groups".

Benjamin Singer of GEF hoped that the project would give people already conserving forests around their homes "legal recognition, data, and finance... The project will produce a replication toolkit that other Indian states can use once national guidelines are officially released".

To do this, the project will build a management information system (MIS) based on data from botanical, zoological, and wildlife institutions. The aim is to use the MIS to build a national biodiversity map to serve as a practical tool while planning any development or infrastructure project.

The writer is India Programme Lead, Earth Journalism Network

LOCKED POTENTIAL

Smart meter rollout is impeded by its ambiguous status

Anil Rawal

For the first time in decades, India's electricity distribution companies (discoms) have turned profitable, recording profit-after-tax of ₹2,701 crore in 2024-25. A main reason behind this turnaround is the smart metering initiative under the Revamped Distribution Sector Scheme (RDSS), which improved billing accuracy, slashed losses and restored operational discipline across the sector.

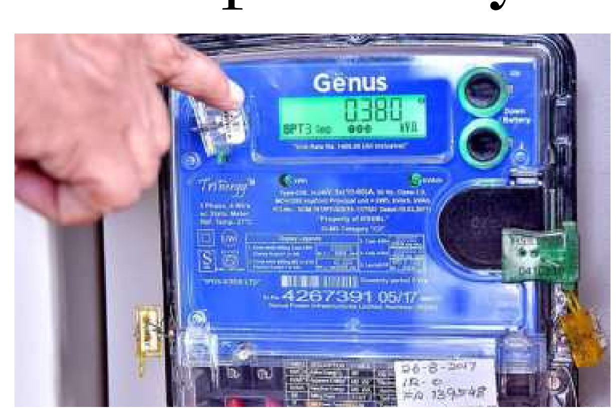
Beyond meter deployment, this sector promises to unlock exponential value through data-driven services, predictive analytics, grid optimisation, consumer behaviour insights and energy trading platforms. And yet, the rollout is not fast enough, mainly due to financing constraints and a lacuna in how the government classifies smart metering.

The $30-billion opportunity needs long-term debt funding. India has the potential to become the most attractive market for energy technology investment globally but the financing architecture is unable to raise capital at scale and for longer durations.

A chief problem is its classification under the 'harmonised master list of infrastructure' (HML) maintained by the finance ministry's department of economic affairs.

HML defines what qualifies as infrastructure for policy support, financial incentives and regulatory benefits. This, in turn, determines which projects can access long-term financing from infrastructure-focused institutions, sovereign wealth funds and global institutional investors.

It governs regulatory exposure norms for banks and non-banking financial companies (NBFCs). It unlocks access to infrastructure investment trusts (InvITs) and signals to the global investment community that the government stands behind a sector with regulatory and policy commitment.



DATA POWER. Smart metering electricity supply S RAMESH KURUP

HML currently recognises electricity generation, transmission, distribution and energy storage systems, but stops short of including the advanced metering infrastructure (AMI) systems being deployed nationwide under the RDSS programme.

Smart metering is a new sub-sector within electricity distribution, carrying heightened perceived risk because of its exposure to discoms, whose financial track record is not good. Given the substantial debt requirements, participation from large infrastructure-focused institutions is essential, alongside traditional banks. However, the absence of mention in the HML creates regulatory ambiguity, which prevents large infrastructure finance institutions from extending credit to this critical sector.

Nor can smart meter InvITs be established. The RBI extends to infrastructure projects a two-year grace period on commercial operation dates, compared with one year for others — this benefit too eludes smart meters. The resultant financing gap is slowing one of the world's largest power sector digitalisation programmes.

FUTURE NEEDS

Smart meters are deeply embedded in India's broader energy strategy.

They enable time-of-day (ToD) tariffs, the success of the solar rooftop programme, integration of renewables in the grid, and other transformational programmes in the grid.

As solar generation drops after sunset, grid demand spikes sharply, creating stress on distribution infrastructure and driving up power purchase costs for discoms. ToD tariffs incentivise consumers to shift discretionary consumption — such as for appliances, electric vehicle (EV) charging, water heating.

ToD tariffs are only possible with smart meters, which can record, transmit and bill consumption on a time-differentiated basis. Flattening the evening peak is essential for the financial sustainability of the grid as India's energy mix becomes increasingly renewable and the EV ecosystem expands.

The government must modify the HML to read "Electricity distribution along with smart metering infrastructure" under the energy distribution category. Even a footnote would eliminate ambiguity, unlock diverse financing sources and signal government commitment to the sector.

The writer is MD and CEO, IntelliSmart Infrastructure, a digital infrastructure company helping power utilities roll out smart meters and digital solutions at scale under the RDSS

The fresh wind turning Suzlon 2.0 turbines

Wind turbine manufacturer chalks out five-year roadmap with carefully fixed targets

M Ramesh
Avinash Nair

Wind turbine manufacturer Suzlon Energy recently held a press conference to announce its new avatar, Suzlon 2.0. But what the company revealed was nothing new really.

Suzlon 2.0, said Vice Chairman Girish Tanti and newly appointed CEO Ajay Kapur, is the transformation of the company from a solely wind turbine manufacturer into an end-to-end solutions provider, bringing in solar (with partners) and battery storage.

The company had earlier spelt out to journalists and investors its intention to ginger up project development activities such as land acquisition and connectivity ahead of order wins, under its 'DevCo division'.

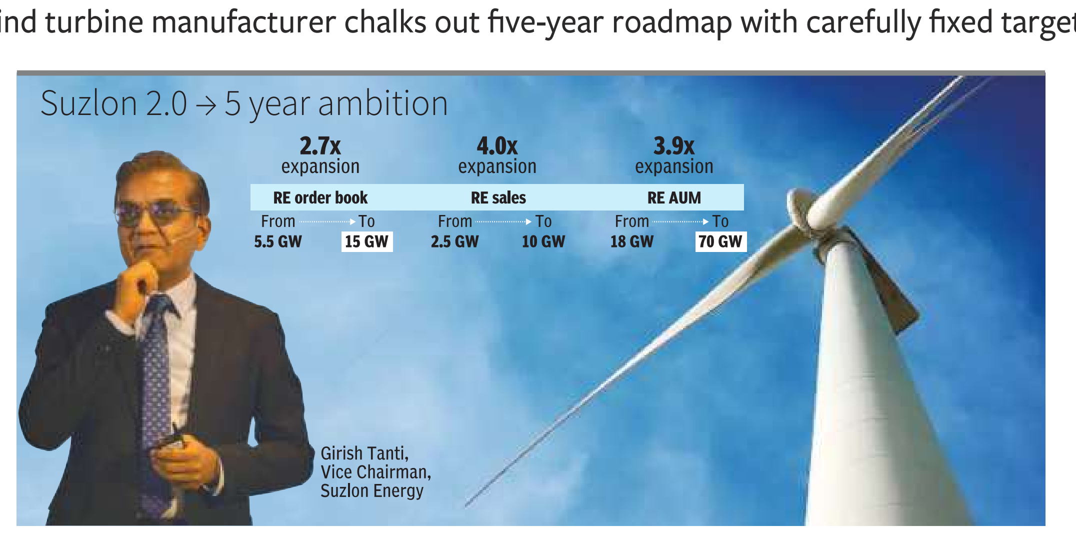
In fact, this approach — truly a redux of the early days of wind industry in India — had helped Suzlon bag, for instance, a 250 MW order from steel major ArcelorMittal in January. So, what is new in Suzlon 2.0?

When *businessline* put this question to Tanti, he replied that while the company had directionally revealed its intentions earlier, Suzlon 2.0 was a clear five-year roadmap with carefully fixed targets. He further said that the company had disclosed the targets because it was willing to be judged against them in future.

The targets are indeed the sit-up-and-take-notice kind. Three sets of numbers illustrate this: the order book would increase from 5.5 GW to 15 GW by 2030-31, annual sales from 2.5 GW to 10 GW, and 'assets under management' (namely operations and maintenance, or O&M) from 18 GW to 70 GW.

LIMITED COMPETITION

As for the order book and sales, Suzlon's fortunes seem to have hitched a ride on luck — a payback of sorts for holding its ground during a decade of difficulties after its abortive takeover of RE Power of Germany in 2007, a leveraged move that messed up Suzlon's finances.



Today, the company enjoys a strong position in a market where meaningful competition remains limited. The Chinese company Envision is one significant rival. Inox and Adani derive a substantial portion of demand from their own renewable energy ecosystems. During a recent investor call, Inox declined to disclose its turbine volumes, saying revenue was a better indicator of business performance. Other global players such as Vestas, GE and Senvion have only a limited presence in India, while Siemens Gamesa has sold its Indian wind turbine business to an investor group led by a member of the Chennai-based Murugappa family.

In 2025-26, India saw 6.05 GW of sales; Suzlon had 40 per cent of it. Tanti vehemently disagrees that Suzlon has it easy in the market, but the company's targets seem to indicate smug confidence.

The recently released 'Long-term national resource adequacy plan' of the Central Electricity Authority assumes 10 GW of wind installations annually between 2026-27 and 2035-36; Suzlon expects 7 GW of domestic sales in 2030-31.

Secondly, Suzlon expects some propulsion from its re-entry into the international market. Kapur says it aims for 3 GW of overseas sales by 2030-31. It recently launched 6 MW and 5.3 MW turbines for global markets.

It proposes to — as Kapur puts it — remove customers' pain points. This essentially means pre-project development. On top of this is another layer — a bouquet of offerings including standalone wind, wind-plus-solar and wind-plus-solar-plus-storage.

Tanti believes the wind-solar-storage bouquet will help Suzlon retain its leadership in the growing 'FDRE' market, where developers are expected to deliver 'firm, despatchable renewable energy' — either all day or during peak demand periods or following the load, as required by the customer.

The Indian renewable energy market is shifting to wind-led FDRE, Tanti said, noting that most forecasts put this market at 100-160 GW of wind by 2030.

THE THIRD PILLAR

It is the O&M business target that raises the eyebrow further. Despite being a crowded area, O&M remains a high-margin game. Tanti said the margins go as high as 40 per cent. Suzlon hopes to raise its AUM from 18 GW to 70 GW.

Too ambitious?

Tanti admits the target is "bold" — but possible.

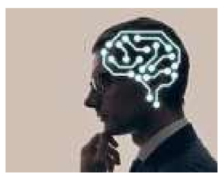
There was a time when developers wanted to handle the maintenance. But with the market growing, Tanti says, they now want Suzlon to take care of the entire thing, as they want to focus on asset build-up.

He believes Suzlon's data from tens of thousands of wind measurement masts and operating turbines will provide a significant advantage in predictive analytics and preventive maintenance — capabilities that could underpin the company's next phase of growth.

OFFICE BUZZ.

Future of work

What's the office going to look like two decades hence? Neural implants, which link the human brain directly to external devices, is the top emerging technology global workers expect to see in the workplace by 2050, according to new research by the International Workplace Group.



Both HR leaders and employees believe workplace technology will be unrecognisable by 2050, as innovations such as neurotechnology — already developed by companies such as Synchron and Elon Musk's Neuralink — move closer to real-world application. Intelligent systems are also expected to automate complex workflows and accelerate decision-making. Artificial intelligence and automation will also continue to transform the workplace. Around two-thirds of HR leaders and employees think AI will determine the optimal location and timing for collaboration.

India is top ranked on the 'AI advantage' score — a measure of the real-world impact of AI at work, based on the time it saves employees — at 53 points (against a global average of 34), with 86 per cent of employees and 90 per cent of employers reporting that AI has had a positive impact on productivity. AI-enhanced training is also accelerating learning, whether in college or on the job.

SCAN TO READ.

The art of letting go

S Giridhar writes on developing a mindset of letting go, not just when we retire at 60, but across various circumstances during one's career

Freedom does not create failure or excellence

Autonomy does not weaken organisations, argues **Sridhar Arnala**. Instead, it reveals the truth about accountability, ownership, and character

SWITCHING GEARS

RITES of passage to hyper-competition

FAST TRACK. With an all-time high order book of ₹9,416 crore, the PSU says revenue will be on par with its mounting ambitions

Chitra Narayanan

ROLLING OUT OF INDIA. RITES exports customised, high-capacity Cape gauge locomotives to Mozambique

"We are pitching 2026-27 as the year of disruptive growth," declares Rahul Mithal, CMD of RITES. With an all-time high order book of ₹9,416 crore, as of March 31, Mithal can afford to be confident that revenue growth will be on par with the PSU's mounting ambitions.

Since 2022-23, when the 52-year-old Navaratna — in which the Ministry of Railways has majority shareholding (72 per cent) — went in for a complete internal re-engineering, it has been furiously chasing orders, especially exports.

The infrastructure consultancy has 13 verticals (including railways, ports, airports, metro system, highways, ropeways, bridges, and sustainability) and covers three broad areas of work — techno-feasibility studies, project management consultancy, and third-party audits. It is currently executing 700 orders across these verticals.

"We have been tapping the growth in infra — both domestic and international — across these verticals," says a gung-ho Mithal.

There is a sea of opportunity opening up in the maritime sector, he says, with India investing in new shipbuilding clusters and port expansions. "We are creating the master plan and doing studies for Visakhapatnam port, which is developing shipbuilding facilities in Dugarajapatnam, and for Kandla port, which is developing a cluster at Veera," says Mithal.

Similarly, the opening up of skies has meant more projects in the aviation sector. "For example, we recently got an order for making a feasibility report for two airports in Bihar," says Mithal.

On ground, the thrust on expressways has resulted in more projects. "We are doing the third-party audit for many expressways, such as the Purvanchal Expressway. On Ganga Expressway we are doing the safety audit," he says.

But it's in the key area of design and export of railway rolling stock that the transformation exercise is really fetching dividends. Ideally, as Mithal points out, exports — a good margin business — should yield 25 per cent of RITES topline.

POST-COVID REVIVAL

For two years post the Covid pandemic, the order book remained blank as many of the African and Southeast Asian countries that RITES traditionally exported to were struggling for funding. Typically the orders from these nations were on a line of credit (LoC) extended by the Indian government, but this dried up.

For Mithal, who took charge in October 2021, this was a challenging time.

"We had to rediscover the global market and start pitching for the first time in open global tenders," he says. And the company was up against highly competitive Korean and Chinese rivals.

"Bidding for global tenders required spending on market analysis, studying the competition, price points, timelines and, most of all, having the aggressive mindset to win," he says.

The breakthrough came in 2023-24 with two orders — the first from Mozambique for 10 locomotives for about ₹300 crore, and the other from Bangladesh for 200 coaches for about ₹900 crore.

"This was the turning point in our export business as these wins were through open global competition and not through LoC," says Mithal. "After a gap of nearly two years, FY25-26 saw ₹300 crore revenue realisation," he reminisces.

Rahul Mithal, Chairman and Managing Director, RITES

While the structural changes initiated internally helped, the opening up of the coach and locomotive manufacturing ecosystem in India was a boon too.

For instance, BEML has expanded its production capabilities and has joint ventures for high-speed rolling stock projects. Titagarh Rail Systems has expanded into the locomotive and passenger coach segments.

Private players have entered the fray. "So now we have more options — whether it is locomotive or coach, the dynamics have changed," he says, pointing out how, for any rolling stock export, RITES is free to get the best deal — whether from a railway production unit or a private player.

Currently, RITES' rolling stock export order stands at about ₹1,750 crore, which includes a recent order for five locomotives from Mozambique that was won on a competitive bidding basis.

GREEN TRANSITION

Mithal is chuffed about an interesting new initiative in the export domain — modifying and retrofitting old diesel locomotives.

"As Indian Railways has become nearly 100 per cent electrified, a large number of diesel locomotives have become redundant with substantial codal life left in them. So we took up this initiative last year to repurpose them with a changed gauge," he says. Many southern African nations run on Cape gauge, while the Indian track is mainly broad gauge. "We've got an order for 30 retrofitted locomotives, totalling about $50 million," says Mithal, describing it as a win-win — for railways it is asset use, for the clients it is lower cost.

The first two retrofitted locomotives are ready to be shipped soon, says Mithal. It's a pilot case, and once tested it has the potential to open up a whole new business opportunity, since Indian Railways has over 4,000 diesel locomotives.

NEWER GEOGRAPHIES

Now clubbed under a department named RITES Videsh, the international business strategy has in the last few years changed significantly. Besides export of rolling stock, the company has begun pitching for project consultancies internationally, beyond the familiar terrain of Africa and Southeast Asia.

"We're exploring opportunities in Latin America... in Argentina, Paraguay, Uruguay, and in Central American nations like Panama and Costa Rica. We have started getting some highway projects in Guyana, and that has encouraged us to open an office there," says Mithal.

He adds that, like with exports, RITES has begun seeing green shoots in international project consultancies too.

"We opened an office in Abu Dhabi about a year ago and already have a small order in Jordan. We are working in the UAE closely with Etihad Rail, DP World and Abu Dhabi Ports," he says.

"In our RITES Videsh initiative, we have ended the year with an order book of ₹2,100 crore — about ₹1,750 crore in export of rolling stock and the balance of about ₹350 crore in project consultancy," says Mithal.

What pleases the CMD the most is the fact that RITES has now become a one-order-a-day company from just 0.6 two years back. In Q4 of 2025-26, it bagged 120 orders. And this through competitive bidding — no longer through nominations, like it did in the old days as a Railways company. Today it has to fight for every order. The PSU is well on track to becoming a hyper-competitive player.

Corporate 'austerity' can't cut it

PEOPLE@ WORK

KAMAL KARANTH

"What happened to your regular car," asked my colleague when he saw me driving an EV to office. "You heard what Prime Minister Modi asked us to do, haven't you?" I replied. I told him how, as a family, we have been responding to the austerity call in recent weeks by juggling the only EV we have for our city travel. "But Modiji also asked us to do more 'work from home'. Allow us also to contribute to the nation's cause," he said, tongue-in-cheek.

His retort prompted me to survey how our employees travel to work. About 70 per cent use either public transport or energy-efficient modes. After the Herculean efforts to get a young company back to the office, returning to WFH felt unpatriotic, rather than contributing to a sustained, productive organisation. It also made me think about the ways in which enterprises cut discretionary spending during a crisis, or whenever the headquarters thinks it's the season for savings.

ROB PETER TO PAY PAUL

The first thing that goes out in a freeze mode is hiring. But enterprises have ways of subverting this too. You know well by now that the stock prices of companies that lay off full-time employees (FTEs) immediately go up. The top 10 companies in terms of laid-off FTEs collectively retrenched about 84,000. Six saw Wall Street rewarding them with higher share prices. That's the immediate return for the board and management.

However, internally, the work still has to be done by someone. The quick solution to that are contractors, who get expensed differently on the P&L.

For example, the leading Indian IT services companies' employee count has remained flat over the last 12 months in response to weak customer demand and perceived AI threat. At the same time, the top six that publish their sub-contractor spend have shown a 22 per cent increase in contractor expenses. The organisation still spent, albeit in a different expense line.

Early during Covid, one of our customers said it was a difficult time and wanted partners to share the pain and asked for discounts. Three months later they published their results and, guess what, it was their best quarter in the last 12 months. An enterprise with ₹2,000 crore revenue took a discount of ₹50,000 per month from a ₹50-crore-turnover supplier to book 40 per cent more profits in the following quarter.

FOR A FEW DOLLARS LESS

"It's a difficult time for the organisation, as you can see from our results; we will all take a voluntary pay cut of 10 per cent," announced the VP at a hurriedly called 'all-hands'. When such announcements are made, you wonder whether the word "voluntary" is being abused. Pushing variable pay to another quarter to satisfy shareholders in the interim has become a norm in the IT industry.

We were in the middle of annual appraisals and wondering if it made sense to dole out increments during difficult times. Our HR head disagreed, saying that as a Fortune 500 company we shouldn't take such reactive decisions at the end of a year. She strongly opined that the enterprise should notify employees in advance that if it doesn't achieve 80 per cent of its target, there wouldn't be any raise the next year. In her view, such arbitrary decisions of leaders influence employees to act like mercenaries, and discretionary efforts take a back seat. As logical as her argument was, she didn't last to see the next year. Large corporations like leaders who always toe the line, especially in an austerity mode.

THE ROAD LESS TRAVELLED

"We are on a travel freeze; no offsites" is something you hear during any downturn, or senior executives are advised to skip business class, which by itself is a reminder that things are not fine.

If corporations think travel is such a non-essential thing, then why have it in the first place?

One of my employers even had headings like 'essential' and 'non-essential' expenses. I heard it for the first time when the EVP got senior executives from multiple countries to China for an important meeting and called it the right spend.

He said we wouldn't go out for the collective dinner, given the cost control. Instead, we ordered room service at the five-star hotel we were staying at.

During trying times, enterprises struggle to balance the need for essential expenses vs the fringe ones. The disparity in the decisions by the people in power becomes glaring for all.

When organisations freeze hiring, cut headcounts, postpone pay hikes, and pause travel, the collective material savings are hardly significant. CFOs bring in some of these curbs purely as a signalling measure. I have observed constraints working in pockets, but not for long.

"Can we do more with less" is the question we often ask.

One has to reflect on the prolonged duress that the world and workforce have faced over the last few years, courtesy the pandemic, the tariffs, AI, and now the war.

"Remember that pain has this most excellent quality. If prolonged, it cannot be severe, and if severe, it cannot be prolonged" — a Roman quote.

Kamal Karanth is the Co-Founder of Xpheno, a specialist staffing company

ROASTS AND BEANS

Narasu's Coffee's *besh! besh!* rejuvenation

Sindhu Hariharan

In a tea-drinking nation like India, coffee may be finally having its moment. Whether it is filter coffee for the purists or instant coffee for the hustlers, or a ₹250 cold brew in a chic café, Indians are consuming more coffee than ever before, and coffee companies are racing to keep pace.

Betting on this shift, Tamil Nadu's very own '*besh! besh!*' Narasu's Coffee, a familiar fixture in south Indian kitchens for years, is brewing a change in its 100th year.

Narasu's launched in 1926, named after the founder, V Lakshmi Narasimhan (called Narasu by all). The company's headquarters in Salem, which was inaugurated by President VV Giri, still stands tall, housing its corporate office and the coffee roasting and grinding plants.

In 1966, the company was auctioned and acquired by a partnership firm headed by RP Sarathy and comprising his family members. After a round of family settlements, the management was entrusted to Sarathy's son Sivanantham P (the current chairman) and grandson Srudheep S, who is managing director.

INSTANT SHIFT

In keeping with the times, the legacy brand has had a makeover. Although known for its pure blend (without chicory), the company is no longer confined to the aromatic '*davara* tumbler' filter coffee, but caters to every taste bud — roasted-and-ground coffee powder, chicory blends, instant coffee mix, liquid decoction, premix packs, tea, and even a range of food products.

STIMULATING GROWTH. S Srudheep, MD, and (right) P Sivanantham, Chairman, Narasu's Coffee

"We started from filter coffee, became one of the largest producers and retailers of pure coffee. Then, when the market evolved, we have provided whatever the consumer asks," says Sivanantham.

Narasu's is particularly popular for its iconic small stores, where one stands outside as the shopkeeper scoops up the correct measure of coffee powder and proceeds to seal the warm packet.

For today's generation of consumers, Narasu's is adding convenience to this nostalgia. Its stores now resemble mini-supermarkets stocking all its offerings under one roof.

"The appearance of our stores may change but we are grounded to our core offering — the quality of the coffee," Sivanantham stresses.

Currently, in the roasted-and-ground (R&G) segment the brand has a market share of 40-45 per cent in Tamil Nadu. In the highly competitive instant coffee space, it holds 10-15 per cent share.

SMELL THE COFFEE

A walk through the R&G plant in Salem is not just an olfactory delight but also a revelation of the company's fierce focus on quality. "We have a policy of 'farm-to-shelf in 24 hours'," says Srudheep.

The inflection point was the firm's entry into the instant coffee space in 2002.

Global coffee makers were already in play in this category, but it was a bold bet for the company, the Chairman says, which has since paid off. "It opened up exports for us," he says, recalling a time when monthly shipments to Russia touched about 17 tonnes in the early days of the plant.

Cut to today, almost 50 per cent of revenue comes from exports across 45 countries, including the US, Europe, the UAE, and Singapore.

"Indian coffee has a distinct taste profile and is being preferred in export markets. Besides the countries with a large Indian diaspora, we are seeing new markets opening up, such as Nigeria and Iceland," Srudheep says.

As Sunalini Menon, president of Coffee Lab consultancy, says, filter coffee is no longer confined to the South and is a pan-India phenomenon. "Even the younger generation wants to drink filter coffee, but maybe not by making it with a conventional filter," she points out.

Narasu's is staying relevant with its packaging innovation, and has done well in Tamil Nadu, she adds. "Flamboyancy is not their style and they have done well to balance the traditional vs modern customer," she notes.

But the journey is not without challenges.

The coffee industry is seeing a drastic transformation in both consumptions patterns and branding. Chains like Third Wave and Blue Tokai are giving a tough fight to legacy players, which are forced to reinvent to capture new-generation consumers. "We have plans for products like drip coffee, where you just open the sachet, put it in a cup and pour hot water," says Srudheep.

Additionally, coffee seed prices, linked to the commodity markets, pose a key challenge for Narasu's, which buys from coffee estates in India, and global hubs such as Vietnam and Indonesia.

HIGH CAFFEINE

With a piping hot coffee market, one may think it's time for accelerated growth, but the quintessential TN enterprise that it is, Narasu's is comfortable with its current ambitions.

"We are not looking for any financing at the moment," the patriarch says. "We have limits from banks but are not utilising even that; We had a lot of opportunity [for external investments] but did not want that," he says, choosing instead to preserve the culture he has built with its 1,000-plus employees.

And given that the brand has stood the test of time on the foundations of this familial culture, he may have a point. After all, who can forget the iconic endorsement "Coffee-*na* Narasu's Coffee *thaan. Besh! besh! Romba nalla irukku*" in a pioneering ad that captivated Tamil households in the 1980s. But can that transcend the decades to capture GenNext coffee lovers?

Perhaps it's time for a "lit lit" Narasu's anthem for GenZ?

The writer was in Salem at the invitation of Narasu's

NOW BREWING: NARASU'S NEW AMBITIONS

Revenue: Sri Narasu's Coffee Company clocked ₹641 crore revenue in FY26

Growth: The 100-year-old company expects 18-20 per cent growth in FY27

Expansion: Narasu's is planning to enter the Karnataka, Andhra Pradesh and Kerala markets

Retail plan: It operates 80 stores across Tamil Nadu and one in Puducherry. Plans store launches in Bengaluru and Amaravati in FY27

Online mix: E-commerce contributes about 15 per cent of overall sales

FUND FACTS.

$55 million

Firstclub Technology Private Limited received Series B funding from Accel India, Peak XV Partners (Sequoia India and SEA), Sofina, RTP Global, and Paramark Ventures on June 4, taking the total funding to $83 million.

$23.49 million

Agilitas Sports Private Limited received funding from Nexus Venture Partners and Rainmatter Ventures on June 3, taking the total funding to $116 million.

$15 million

Fdms Marketplace Private Limited received Series A funding from Bertelsmann India Investments, WaterBridge Ventures, and Incubate Fund India on May 26, taking the total funding to $15 million.

$13.39 million

Simpleenergy Private Limited received funding from Arokiaswamy Velumani, Suhas Rajkumar, and Ankit Gupta on June 1, taking the total funding to $83 million.

$13 million

Qualife Biotech Private Limited received funding from Dholakia Ventures, Prime Venture Partners, Leo Capital, Good Startup, Sparrow Capital, SUNiCON Ventures, and WTF (India) Delhi Angels on May 25, taking the total funding to $13 million.

Source: PrivateCircle Research, a private market intelligence platform

RE POSTS.

It's pretty insane to see founders having to juggle fundraising, managing runway, making product decisions, traveling to the edges of the earth to meet customers, managing board expectations, keeping the culture alive.. all with utmost composure like everything is going to be okay.
Very few jobs have that much context switching, chaos, competing priorities, and uncertainty.
Just superhuman stuff.

Arjun
@neuralunlock

Bangalore is where everyone is either building a startup, joining a startup, investing in a startup, or recovering from one.

aa-yushi
@probablyaayush

Influencers trying to be Founders, understandable.
Founders trying to be influencers, end of business.. is near.

pj
@BeingPractical

FOUNDERS' TOY STORY

The serious business of playthings

ALL WORK, ALL PLAY. From fun and sporty to educational, toys produced by Indian startups are increasingly in demand globally

Sanjana B

Toys — the millennia-old companions of childhood — increasingly vie for attention with electronic screens. Bengaluru-based startup PlayShifu says it is solving this modern-day problem for parents by transforming passive screen time into active learning sessions for cognitive development. "We do this by combining physical, tactile play with digital interactivity — all built on our proprietary, patented technology," says Dinesh Advani, co-founder of PlayShifu.

While online channels contribute 45 per cent of sales, nearly 80 per cent of PlayShifu's revenue comes from international markets. The products are exported to more than 35 countries, and sold across 2,500 retail outlets.

As global companies diversify their sourcing beyond China, the Indian toy-making industry is among the beneficiaries as brands such as Hasbro, Mattel, Spin Master, and IKEA are now among its client list.

Mihir Joshi, Managing Director of venture capital firm GVFL, points to the emergence of stronger domestic manufacturing capabilities in recent years. "There is a meaningful opportunity for Indian toy companies to strengthen their presence not only in the domestic market but also global markets, as supply chains diversify and demand for trusted manufacturing partners increases."

INVESTMENT MAGNET

The sector, not surprisingly, has caught the attention of investors.

"India today exports only $150–200 million worth of toys to a global market that exceeds $130 billion. China alone exports $55–60 billion annually. Even a low single-digit share of global toy exports would mean a massive expansion for the Indian manufacturing ecosystem. This makes the category exciting from an investor perspective," says Bala Srinivasa, Managing Director of Arkam Ventures.

SMART SCREEN. PlayShifu's toys combine tactile and digital features

Bidso India manufactures a range of outdoor and ride-on toys

Legend of Toys crafts miniature vehicle models, including remote control cars

According to Tracxn, the toy industry attracted $92.6 million funding between 2019 and 2026. Funding peaked in 2024, at $32.9 million across 14 rounds. So far this year, $11.6 million have streamed in.

Apart from exports, local demand, too, is seeing healthy growth.

Srinivasa observes that the country's $2 billion toy market is expected to more than double over the coming decade to $4.5–5 billion.

Legend of Toys manufactures miniature remote control cars, drones, action figures, and planes, apart from arts and crafts kits, puzzles and dolls. Nearly 80 per cent of it is sold online. Co-founded by Afshaan Siddiqui and Vinay Jaisingh, the D2C toymaker also sells through multiple retail outlets in 19 states. It next plans to sell offline directly through pop-ups across India, starting with Bengaluru.

Its 16,500 sq ft factory in north Bengaluru can produce over 45,000 remote control cars per month.

Exports are on the horizon for the startup, with the first shipment heading to the US — the world's largest toy market — this month, and an entry into West Asian and European markets planned thereafter. "Indian manufacturing is increasingly seen as a credible, high-quality alternative to traditional sourcing hubs," says Siddiqui.

The company has raised nearly ₹36 crore across three funding rounds and scaled up to ₹30 crore annual recurring revenue (ARR) within 18 months, growing around 20 per cent month-on-month.

"We are looking to exit the year at ₹80-plus crore ARR. Alongside, we are expanding into new categories such as DIY toys," Siddiqui says.

FULL-STACK MANUFACTURE

Founded in 2022, Bidso India manufactures a range of outdoor and ride-on toys such as kick scooters, tricycles, balance bikes, ride-ons, and baby walkers.

Its customers range from domestic brands to global franchises. Boasting over 400 SKUs across 25-plus brands, the company uses a franchise-owned, company-operated (FOCO) structure — franchise partners deploy capital, while the company has operational and quality control.

"We cover the full spectrum, from entry-level to premium products, and across licensed product lines under globally recognised characters including Peppa Pig, Harry Potter, Transformers, NASA, Hello Kitty, and Hasbro franchises," says co-founder Aditya Krishnakumar.

"We are a full-stack manufacturing partner with an in-house design and engineering team, 300-plus proprietary moulds, and licensing execution. Our customers get branded, design-differentiated products," Krishnakumar says.

The company has six manufacturing facilities across Delhi NCR, Goa, and Puducherry.

Exports, which form a small but growing segment of this B2B business, is expected to contribute about 20 per cent of revenue by the first quarter of 2028.

Bidso has raised over ₹70 crore, including ₹63 crore in a recent Series A round. It reported revenue of ₹60 crore in FY26, up from ₹7.52 crore in FY24, its first full year of operations. It plans to expand its manufacturing footprint from 1.3 lakh sq ft to 5.5 lakh sq ft by FY28, targeting an ARR of ₹610 crore.

PlayShifu's design and storytelling processes are managed in-house at its Bengaluru headquarters. It has assembly lines in places like Palghar, Hosur, and Greater Noida. It has raised about $30 million funding till date. "One of our key milestones is reaching 10 million children globally," Advani says. The company targets a presence in over 25,000 stores worldwide through an omnichannel strategy.

POLICY PROP

The startup founders acknowledge the role of government incentives in boosting the toy sector, including the drop in imports and surge in exports.

Legend of Toys co-founder Siddiqui credits the role of 'Make in India' incentives, the mandatory BIS quality control clearance for toys, and the hike in basic customs duty on imported toys from 20 per cent to 70 per cent.

Adjacent industries that feed the toymakers' supply chain — such as metal parts, plastic parts, printed circuit boards and motors — have developed parallelly, enabling local sourcing, he says.

While the rationalised import duties on electronic components has aided toy manufacturers, their supply remains a bottleneck. "The toy industry is also partially vulnerable to tariff changes, shipping costs, and global trade disruptions... plastic and metal prices have gone up, impacting our cost of making," he explains.

Drawing comparisons with a formidable rival, Bidso's Krishnakumar says, "China's scale has allowed for micro-specialised factories within tight geographic clusters, each feeding into a broader ecosystem that has mastered certain products, processes, and materials over decades. Indian consumer goods manufacturing is still figuring out how to scale up without that setup in place. This requires deliberate investment and time."

On the positive side, he points to the 200-plus per cent surge in toy exports between FY15 and FY23, turning the country into a net exporter.

STARTUPS: VAI-THEE-FUSS

Can political startup TVK meet 'investor' expectations?

VAITHEESWARAN K

In the previous column, I had listed a few key startup principles that the Tamizhaga Vetri Kazhagam (TVK) was spot on in the Tamil Nadu Assembly elections. Now comes the difficult part. When startups raise a large round of capital, it is celebrated as it signals to the market that the startup has got an early product-market fit (PMF), buying customers are transiting into committed users and there is a growth momentum.

In the case of TVK, the public has funded the political startup with votes instead of money, and given party leader C Joseph Vijay and his team the runway to build, experiment and scale up.

Unfortunately, however, this vote-capital is accompanied by a huge burn rate (the voter's massive expectations) and the TVK must execute smartly to satisfy them.

Early-stage startups are entirely created by founders and their personas, and this works as long as the venture remains small. Scaling up requires processes and systems. TVK's big challenge will be to transit from a film star's aura-driven fan network to a large political party capable of administering the State with strong systems across districts.

The four key hurdles common to startups scaling up are: building a second line of leadership; delegating responsibility downwards with accountability; setting up robust processes and monitoring systems; and ensuring that decision-making is transparent and fair.

Thousands of startups falter at this stage, because while building processes is easy the discipline needed to adhere to them is much harder.

Many startups try to do too much too soon, especially after a large round of funding, to show momentum to the new investors. They launch in several markets and try to address several customer segments at the same time.

TVK should avoid such an approach and, instead, carefully pick a few visible and important domains, execute well and showcase early wins to build credibility and keep investors (voters) satisfied.

Another hurdle for startups scaling up fast is the erosion in positioning and communications. They raise capital based on specific brand promises, but as they scale up the narratives change and disillusionment sets in.

TVK must remain consistent with its original positioning and the messaging that got it here. Dilution in communications can cause distress among the early users (fans).

For startups, the best way to gain trust is to under-promise and over-deliver. Several funded startups make the mistake of over-promising grand objectives and end up under-delivering, which can cause irreversible damage. TVK must steer clear of this pitfall.

Startups have to work hard and long to build trust. However, they can also lose this trust in an instant.

The writer is a serial entrepreneur and best-selling author of the book 'Failing to Succeed'; posts on X @vaitheek

Getting AI to sniff out Alzheimer's early

Bengaluru startup is developing an affordable platform for dementia diagnostics

Aishwarya Kumar

Deepak Kumaran Nair's childhood dream of joining the armed forces was cut short after health complications forced him to step away from the National Defence Academy (NDA).

The setback, however, served to set him on an unexpected path — from studying physics to discovering neuroscience when doing his PhD in Germany. Today, Nair is co-founder of eNLife Research, a Bengaluru-based startup developing AI-powered health diagnostic tools.

An AI-powered blood test that Nair and his team are currently building could potentially identify an individual's risk of developing Alzheimer's disease 10 to 15 years before the onset of symptoms.

The startup's goal is to make early detection affordable and accessible, particularly for Indians, whose genetic and lifestyle risk factors often differ from those used in designing global diagnostic models.

A SIMPLE BLOOD TEST

Moreover, while conventional diagnostic approaches largely rely on PET scans, MRI or cerebrospinal fluid analysis, eNLife's blood-based test can be administered through routine diagnostic centres.

BRAIN POWER. Deepak Kumaran Nair, Co-founder-CEO, eNLife

The technology combines highly sensitive biomarker detection with AI capabilities to identify the subtle biological patterns associated with early stages of neurodegeneration. According to the company, the test using routine blood samples could eventually deliver results within two to five hours.

It involves using a panel of five to seven biomarkers associated with neurodegeneration, including proteins linked to amyloid-beta plaques and tau tangles — two hallmarks of Alzheimer's pathology.

While the startup's initial focus is on Alzheimer's disease, over time it plans to expand the platform to analyse 25-100 biological markers simultaneously across multiple forms of dementia and neurodegenerative disorders.

Its AI engine is being trained to identify subtle correlations between these biomarkers, helping detect early signs of disease progression years before clinical symptoms emerge.

DIGNITY OF LIFE

For Nair, the mission extends beyond scientific innovation.

"It's not only about diagnostics and therapies, it's also about maintaining dignity of life because it's very hard for one to start losing memories. That's like losing identity," he says.

While the company is yet to file patents, Nair says eNLife expects to begin the patenting process over the next 9-18 months, covering multiple technology verticals including biomarker binders, diagnostic assays and its detection platform.

FUNDING SUPPORT

The startup plans to raise $1-2 million to build and validate its prototype and is working with institutions such as NIMHANS and the Centre for Brain Research, in Bengaluru, to generate data from Indian cohorts.

Commerce of cutting-edge R&D

bl. interview

Jyoti Banthia

Early-stage venture capital firm Riceberg Ventures has launched a $20 million fund to back deep-tech startups in sectors such as space-tech, biotech, nuclear energy and robotics. Founded in 2023, the firm has invested in Manastu Space, EtherealX, Signatur Biosciences, Keyron Medical and Arch0, among others. Mredul Sarda, founding partner, dwells on the fund's investment thesis, deep-tech opportunity, patient capital and how the country is at the start of a long innovation cycle.

What is your investment thesis?

We invest primarily at the pre-seed and seed stages. Our focus is on research-heavy companies where breakthrough science eventually translates into industry-relevant products. We are particularly bullish on Indian-origin founders globally, because they combine strong technical capabilities with an execution-oriented mindset. We look for founders solving difficult research problems with a clear path to commercialisation.

A good example is EtherealX, which is building reusable rockets. The idea is to identify strong technical teams early in their research journey and support them as they transform research into scalable businesses. We believe some of the most valuable companies of the future will emerge from deep scientific innovation rather than incremental improvements.

> Our focus is on research-heavy companies where breakthrough science translates into industry-relevant products
>
> **MREDUL SARDA**
> Founding partner, Riceberg Ventures

What are your typical cheque sizes?

As an early-stage investment, the cheques are between $100,000 and $500,000 per startup. Through our first fund we plan to build a portfolio of 20-25 companies.

Which deep-tech sectors are you excited about?

Space-tech remains a key area of interest. We are also optimistic about biotech, nuclear energy and what we call physical AI — the intersection of robotics, automation and artificial intelligence. We see enormous opportunities in applying AI and robotics to solve large-scale challenges in sectors such as healthcare, manufacturing and education.

Deep-tech often entails patient capital. How do you view exits?

Deep-tech requires a longer investment horizon than traditional venture investing. Fund cycles are typically 10-12 years because the first few years are spent on research, product development and in achieving product-market fit. We usually look at exit timelines of five years or more, but are willing to double down on our strongest portfolio companies when we see the potential for outsized outcomes.

How do you assess India's deep-tech ecosystem today?

It's still early in India's deep-tech journey, but the ecosystem is moving in the right direction. We are seeing investor interest and larger pools of capital. While growth-stage funding still relies significantly on international investors, the momentum is building.

Just as the US moved from internet-led consumer companies to deep-tech innovation, India is beginning a similar transition.

Government support, policy initiatives and private capital are all improving, although the pace must accelerate to compete with countries such as China.

HIDDEN RISK

The insurance jolt for buyers of electric vehicles

UNDERWRITING TECH. How electric vehicles are rewriting the rules of motor insurance pricing, servicing and renewals

Amit Vijay Mohile
K Ram Kumar

India's electric vehicle boom is creating an unexpected pressure point for buyers: significantly higher insurance costs compared with petrol cars, even years after purchase.

As insurers grapple with expensive battery repairs, sensor-heavy components and limited long-term claims data, EV ownership is reshaping how motor insurance is priced, serviced and renewed in India.

Petrol car insurance premiums typically fall 10–15 per cent each year as the vehicles age. In contrast, comprehensive premiums for electric vehicles remain 20–40 per cent higher, while a single claim involving a battery pack or sensor-heavy bumper can sharply inflate renewal costs for years.

This hidden ownership shock is steadily rewriting the economics of motor insurance.

EV insurance policy issuance surged 670 per cent between FY25 and FY26, from a relatively small base, making EVs the fastest-growing category in the online motor insurance market, even though EVs still account for barely 1 per cent of the country's insured vehicle fleet.

"The EV segment has rapidly evolved from a niche category to one of the most dynamic growth areas within motor insurance," says Rakesh Jain, CEO of IndusInd General Insurance. "EV insurance is not simply an extension of motor insurance. It is redefining how risk is assessed and priced."

BATTERY RISK

The shift is structural because the battery is no longer just another component in the vehicle — it has become the core insurance risk itself.

"The economics of EVs are significantly different, especially with battery packs accounting for nearly 40–60 per cent of the vehicle's value, which materially impacts claim severity and underwriting assumptions," Jain says.

"In many ways, the battery has become the new engine in EVs," he adds.

A petrol hatchback or compact SUV priced ₹10–12 lakh may attract annual comprehensive insurance premiums of ₹15,000–18,000. An equivalent EV such as the Tata Punch EV or Nexon EV can entail premiums between ₹22,000 and ₹35,000 despite the Insurance Regulatory and Development Authority of India's 15 per cent green discount on third-party premiums.

Industry executives say EV insurance demand is shifting from broad vehicle protection to specialised, component-focused coverage built around batteries, charging systems and high-value electronics.

The challenge is less over accident frequency and more over claim severity. A lithium-ion battery pack can account for 35–50 per cent of an EV's manufacturing cost, and even relatively minor underbody impacts can trigger expensive inspection and replacement protocols because of the thermal runaway risks associated with damaged battery cells.

"Battery protection is becoming a key consideration for customers, given its high cost and central role in EV performance," says Ajay Prabhu, Managing Director – Affinity, Lockton India.

Unlike petrol vehicles, with which insurers have decades of actuarial history, EVs are a relatively young asset class with limited long-term data on battery degradation and repair behaviour under Indian operating conditions. That uncertainty is pushing insurers towards more conservative pricing models.

EXPENSIVE REPAIRS

EVs require specialised workshops, high-voltage trained technicians and authorised repair networks; and since the modern bumpers integrate sensors, radar modules and cameras, even low-speed collisions lead to significantly more expensive repairs.

SUM OF PARTS. Electric vehicle insurance demand is shifting towards specialised, component-focused coverage ISTOCK

Says Dinesh Mosamkar, Senior Vice-President – Consumer Underwriting at Tata AIG, "Many insurers are investing in improving their claims capabilities, developing partnerships with EV ecosystem participants and training technicians to better serve this growing market."

THE RENEWAL SHOCK

In ICE vehicles, insurance costs usually decline each year as depreciation reduces the value of the insured asset. In EVs, however, that downward glide path is becoming less predictable.

Zero-depreciation cover, battery protection, roadside assistance and electronics-related riders are increasingly becoming essential rather than optional for EV owners. These costs do not decline meaningfully with vehicle age and, in some cases, rise as insurers price ageing battery systems more conservatively.

A single claim involving bumper sensors or recalibration can wipe out accumulated no-claim bonuses, while insurers are simultaneously adjusting renewal pricing based on emerging EV claims data.

This is creating a sharper divergence between claim-free owners and drivers who file even small claims.

DEALERSHIP ECOSYSTEM

The battle for EV insurance market share is increasingly shifting away from retail comparison platforms to embedded dealership ecosystems.

Private insurers are integrating underwriting APIs directly into OEM billing systems, allowing policies to be bundled with vehicle purchases before customers can meaningfully compare prices.

The market is also rapidly expanding beyond metro cities. "EV growth is no longer limited to metros," Lockton India's Prabhu says, pointing to the rising penetration in tier-2 and tier-3 markets, supported by financing access and improving charging infrastructure.

Mahindra Finance says its EV insurance business expanded four-fold in FY26 as adoption accelerated beyond urban centres. "We are working with insurance companies to make products specifically designed for this segment," says Raul Rebello, MD and CEO.

BATTERY LIABILITY TRAP

The next disruption is battery-as-a-service, or BaaS, which separates battery ownership from vehicle ownership itself.

The model — now spreading from JSW MG Motor to Tata Motors and upcoming Maruti Suzuki EV programmes — lowers upfront purchase prices by ₹2.5–5.5 lakh because the battery remains a leased asset owned by a financier or infrastructure partner.

But it also introduces a major insurance complication. In a total-loss event, a conventional insurance policy typically settles only the depreciated value of the vehicle chassis. The leased battery may not automatically be covered under the same settlement, potentially leaving the customer exposed to residual battery liability.

Insurers are now developing dual-beneficiary EV policies that split payouts between the vehicle owner and battery financier. "EV insurance is steadily moving away from a one-size-fits-all approach towards a more data-driven and customer-centric ecosystem," IndusInd GI's Jain says.

The underwriting process itself is becoming more data-driven, with insurers relying on battery management system logs and connected-vehicle diagnostics to determine liability and claims attribution.

SERVICE ANXIETY

As charging infrastructure expands, insurers say the nature of EV ownership anxiety itself is changing. "Roadside assistance has become a critical component of EV insurance," Jain says, noting that customers increasingly worry more about service assurance and reliability than range anxiety.

Insurers are redesigning roadside assistance systems to resolve EV-specific challenges such as battery depletion, specialised towing, mobile charging support and high-voltage breakdown handling, Prabhu says. Mosamkar adds that insurers are increasingly building EV-trained technician networks and specialised servicing capabilities to support the transition to electric mobility.

BUSINESS OPPORTUNITY

For insurers and financiers alike, however, the long-term opportunity remains too large to ignore. Higher insured values, richer add-on penetration and connected-vehicle ecosystems are rapidly turning EV insurance into one of the most important growth segments in non-life insurance.

Says Mahindra Finance's Rebello, "We are well positioned to grow the opportunity via our vast distribution network of around 1,300 branches."

The industry believes premiums may gradually stabilise as repair ecosystems deepen, battery localisation improves and insurers accumulate more long-term EV claims data.

But for now, the EV transition is reshaping something buyers rarely think about at the showroom — the long-term cost of staying insured.

Cooling inflation with forex inflows

Amid the brewing external and internal troubles, the weakening currency is acting as a catalyst for inflation

DEVENDRA KUMAR PANT
MEGHA ARORA

MORE FOR LESS. Higher inflation bites as earnings dip BLOOMBERG

The backdrop for the June 2026 monetary policy was the uncertain global economy, high energy prices, sharply depreciating currency and the threat of El Nino. The collective impact of these factors on the Indian economy is higher inflation and lower growth.

The RBI, on expected lines, has maintained a status quo on the policy rate and retained the neutral stance. While energy prices have risen sharply, the pass-through to consumers for mass consumption items such as petrol and diesel started only from mid-May, before being revised upwards four times.

To minimise the losses to oil marketing companies, the pump prices of petroleum products may be revised in the future as well. In the June monetary policy, the growth estimate for FY27 has been revised downward to 6.6 per cent from 6.9 per cent (April policy) and inflation forecast revised upward to 5.1 per cent from 4.6 per cent.

The RBI governor, Sanjay Malhotra, has acknowledged that the risks of higher inflation have amplified; however, the banking regulator will wait for greater clarity before acting on rates. Future rate actions would be data dependent.

Currently, one of the major headwinds for the Indian economy is the weakening of the rupee vis-à-vis the dollar. The dollar-rupee depreciated 3.1 per cent since the last policy (April 8) and 6 per cent since the beginning of the year. The weaker currency is acting as a catalyst for inflation.

The key reasons for the weakening of the rupee include the continuous outflows from foreign portfolio investors (FPIs). India's forex reserves at end-May declined to \$682.32 billion — \$14.8 billion lower than on April 3 (\$4.48 billion lower than on January 2). The June monetary policy focused on improving capital flows into the economy.

G-SEC LIMIT

In a coordinated move the government has tweaked the tax policy for FPIs. On June 5 it exempted FPI investment in government securities (G-Sec) from income tax on any interest or capital gain with effect from April 1. To increase the participation of FPIs in the G-Sec market, the list of securities under the fully accessible route (FAR) now includes G-Sec of 15-, 30- and 40-year tenor and sovereign green bonds.

The restrictions of short-term investment, concentration- and security-wise limits on FPIs have been removed and they fall under the overall investment limit of 6 per cent of the outstanding stock of G-Sec and 2 per cent of State government securities.

According to NSDL data, as on June 5, FPI utilisation of the general limit was 9.2 per cent of the upper limit (12.2 per cent utilisation in G-Sec and 0.3 per cent in State securities). The unutilised general limit was ₹5.59 lakh crore (\$58.57 billion using the dollar-rupee rate of 95.40). The changes in the tax policy for FPI investment in G-Sec and the larger pool of government securities available under FAR are likely to attract more investment in government securities to support the currency.

In the monetary policy the RBI announced more measures to augment forex reserves: an increase in the investment limits for non-resident Indians (NRIs) and overseas citizens of India (OCIs) in traded equity instruments, and the extension of this facility to individual persons resident outside India (PROIs) at par with NRIs and OCIs; to incentivise external commercial borrowings (ECBs), concession forex swap is being provided to public sector undertakings (PSUs) until end-September; the full hedging for authorised dealer banks to raise 3-5 year FCNR(B) deposits will be borne by the RBI; and restoring the timeline for realisation of export proceeds to nine months.

TAX RELIEF

The forex inflow into the government security market due to the tax relief for FPIs would largely depend on two key factors: the risk perception about India, which is unlikely to change significantly in the short run; and the comparative dollarised return from India vis-à-vis other markets.

Withholding tax was one of the major reasons for India's non-inclusion in global bond indices, so these measures are likely to provide some support for capital inflows. The steps taken to augment FCNR(B) deposits are likely to lead to relatively more capital flows into the economy.

While the forecast suggests that inflation in 3QFY27 (5.9 per cent) may be closer to the upper tolerance of RBI (6 per cent), it may decline to 5.4 per cent in 4QFY27. With the annual inflation in FY27 being forecasted at 5.1 per cent, the real rate at present is 15 bp.

The RBI has in the past articulated that to incentivise saving, the real rate should be positive; this suggests an increase in policy rate in the future. The RBI has also reiterated its commitment to maintaining adequate liquidity in the banking system to meet the productive requirements of the economy and facilitate monetary policy transmission.

It is unlikely that the RBI will provide liquidity in the system and, at the same time, raise policy rate. This is precisely the reason for the future monetary policy decisions being data dependent.

In our opinion, the assessment of the second-round impact of energy prices and the likely impact of El Nino on inflation could decide the future course of the RBI's action. The system liquidity maintained by the RBI would be a lead indicator of its next policy action. Ind-Ra's base case is a hold on policy rates even in the next monetary policy (August). This is driven primarily by the expected decline in inflation in 4QFY27 from 3QFY27.

However, if the monsoon rainfall deviation from normal is more than 10 per cent and the war continues for longer and oil prices remain high, one may expect the RBI to take policy action even before the scheduled monetary policy committee meeting.

Devendra Kumar Pant is Chief Economist and Megha Arora is Director, India Ratings and Research. Views are personal


FUEL THE ROAD
TO INDIA'S PROGRESS.
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BREAKING NEWS
AN APPEAL TO SAVE FUEL
AMID GLOBAL CRISIS
With global supply chains facing disruptions due to the war in West Asia, citizens are being urged to use petrol, diesel and gas with "greater restraint" to safeguard the Indian economy.
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